

Module -1

Introduction to Entrepreneur & Entrepreneurship

Introduction

The words entrepreneur and entrepreneurship have acquired special significance in the context of economic growth in a rapidly changing socio-economic and socio-cultural climates, particularly in industry, both in developed and developing countries. The entrepreneur as a person brings in overall change through innovation for the maximum social good. Human values remain sacred and inspire him to serve society.

The entrepreneur is a visionary and an integrated man with outstanding leadership qualities. With a desire to excel, he gives top priority to Research and Development. He always works for the well-being of the society. More importantly, entrepreneurial activities encompass all fields / sectors and fosters a spirit of enterprise for the welfare of mankind.

An **entrepreneur** is an individual who creates a new business, bearing most of the risks and enjoying most of the rewards. The **entrepreneur** is commonly seen as an innovator, a source of new ideas, goods, services, and business/or procedures. A person who undertakes the risk of starting a new business venture is called an entrepreneur.

Several factors go into the making of an entrepreneur.

Entrepreneurial Behaviours

1. grasping opportunity
2. taking initiative
3. solving problems creatively
4. managing autonomously
5. taking responsibility for, and ownership of, things
6. seeing things through
7. networking effectively to manage interdependence
8. putting things together creatively
9. using judgment to take calculated risk

Entrepreneurial Attributes

1. achievement orientation and ambition
2. self-confidence and self-esteem
3. perseverance
4. high internal locus of control (autonomy)
5. action orientation

6. preference for learning by doing
7. hard-working
8. determination
9. creativity

Entrepreneurial Skills

1. creative problem-solving
2. persuading
3. negotiating
4. selling
5. proposing
6. holistically managing business/projects/ situations
7. strategic thinking
8. intuitive decision making under uncertainty
9. networking

Evolution of the Concept

The word 'Entrepreneurship' appeared first, in French according to Encyclopedia Britannica. In the early 16th Century, it was applied to those who were engaged in Military expeditions. In the 17th Century, it was extended to cover civil engineering activities such as construction fortification.

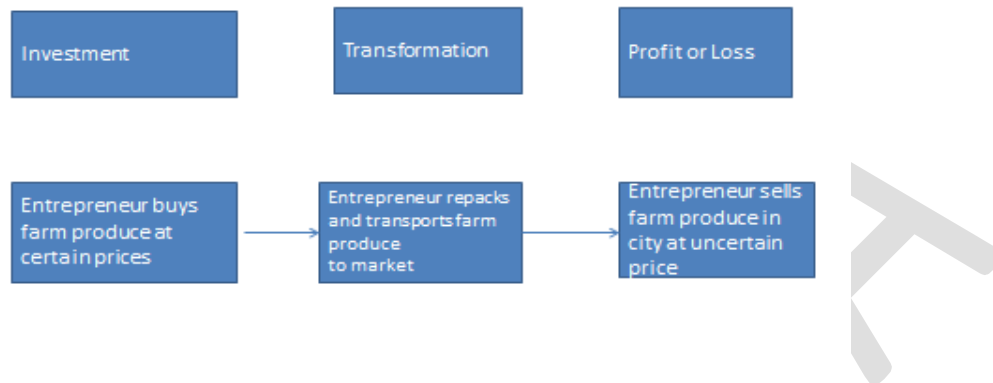
The word itself derived from 17th Century French *entreprendre*, refers to individuals who were 'undertakers' meaning those who "undertook" the risk of new enterprise. They were "contractors" who bore the risks of profit or loss. Entrepreneurship started catching up in 1980s just as professionalism in management caught up during 1970s. However, confusion still prevails as to what exactly we mean by the term 'entrepreneur'. An attempt, therefore, has been made here to define entrepreneur.

There is generally no accepted definition or model of what the entrepreneur is or does. In the past decade, a number of trends have emerged which distinguish between individual entrepreneurship and corporate entrepreneurship and entrepreneurs and small business owners. The literature abounds with criteria ranging from creativity, innovation, risk taking, high need achievement, etc. to personal traits such as appearance and style.

One of the qualities of entrepreneurship is the ability to discover an investment opportunity and to organise an enterprise, thereby contributing to real economic growth. It involves taking of risks and making the necessary investments under conditions of uncertainty and innovating, planning, and taking decisions so as to increase production in agriculture, business, industry etc.

Cantillon's Early View of Entrepreneurs and Behaviour

Cantillon's Early View of Entrepreneurs and Behaviour



A Practical approach is necessary to implement and manage a project by securing the required licences, approvals and finance from governmental and financial agencies. The personal incentive is to make profits from the successful management of the project. A sense of cost consciousness is even more necessary for the long-term success of the enterprise. However, both are different sides of the same coin.

Entrepreneurship lies more in the ability to minimise the use of resources and to put them to maximum advantage. Without an awareness of quality and desire for excellence, consumer acceptance cannot be achieved and sustained. Above all, entrepreneurship today is the product of team work and the ability to create, build and work as a team.

Introduction to Entrepreneurship

Entrepreneurship refers to all those activities which are to be carried out by a person to establish and to run the business enterprises in accordance with the changing social, political and economic environments. Entrepreneurship includes activities relating to the anticipation of the consumers likes and dislikes, feelings and behaviors, tastes and fashions and the introduction of business ventures to meet out all these expectations of the consumers.

Entrepreneurship is the ability of entrepreneurs to assess the risks and establish businesses which are risky but at the same time suits perfectly to the changing scenarios of the economy.

The two major factors determine the entrepreneurship developments are:

1. Risk taking ability of entrepreneurs and
2. Power of achievement of entrepreneurs

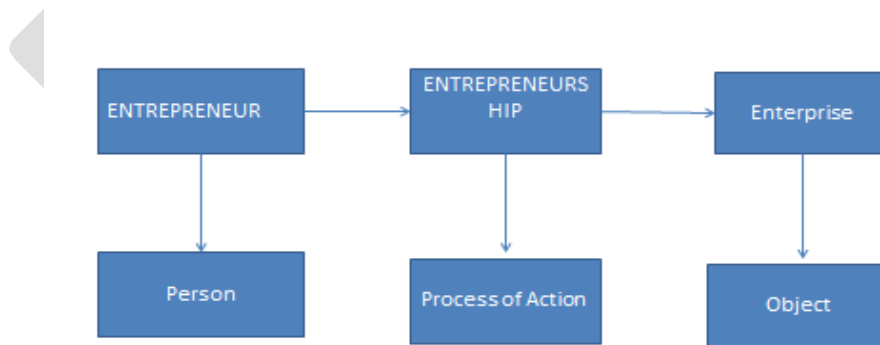
Entrepreneurship “Entrepreneurship is the act of being an entrepreneur, which can be defined as “one who undertakes innovations, finance and business acumen in an effort to transform innovations into economic goods.” The most obvious form of entrepreneurship is that of starting a new business also called As “startup Company”.

More recently, the term has evolved to include other types of entrepreneurship such as:

- Social entrepreneurship that applies the “entrepreneurial principles to organize, create and manage a venture to achieve social change” and
- Political entrepreneurship or “starting a new political project, group, or political party.”
- No society can exist without entrepreneurship. Every society depends on entrepreneurs.

The term ‘entrepreneur’ is defined in different manners by different experts.

“Entrepreneur is one who innovates, raises money, assembles inputs, chooses managers and sets the organisation going with his ability to identify them and opportunities which others are not able to identify and is able to fulfill such economic opportunities. Innovation occurs through i) Introduction of a new quality in a product of ii) new product iii) discovery of fresh demand and fresh sources of supply and iv) by change in the organisation and management”.



Functions of an Entrepreneur

An entrepreneur is expected to perform the following functions

1. **Risk Absorption:** The entrepreneur assumes all possible risks of business. A business risk also involves the risk due to the possibility of changes in the tastes of consumers, techniques of consumers, techniques of production and new inventions. Thus, Risk-bearing or uncertainty-bearing still remains the most function of an entrepreneur. An entrepreneur tries to reduce the uncertainties by his initiative, skill and good judgment.
2. **Formulate Strategic Business Decisions :** The entrepreneur has to decide the nature and type of goods to be produced. He enters the particular industry which offers from the best prospects and produces whatever commodities he thinks will pay him the most employs those methods of production which seem to him the most profitable.
3. **Execute Managerial Functions:** The entrepreneur performs the managerial functions though the managerial functions are different from entrepreneurial functions. He formulates production plans, arranges finance, purchases, raw material provides, production facilities, organises sales and assumes the task of personnel management.
4. **Adopt Innovation Function:** An important function of an entrepreneur is "Innovation". He conceives the idea for the improvement in the quality of production line. He considers the economic inability and technological feasibility in bringing about improved quality.

Characteristics of Entrepreneur

1. **Facilitating Character:** An entrepreneur must build a team, keep it motivated, and provide an environment for individual growth and career development
2. **Self-Confidence:** Entrepreneurs must have belief in themselves and the ability to achieve their goals.
3. **Work with Vision and Mission:** An entrepreneur must be committed to the project with a time horizon of five to seven years. No ninety-day wonders are allowed.
4. **High Degree of Endurance:** Success of an entrepreneur demands the ability to work long hours for a sustained period of time
5. **Trouble Shooting Nature:** An entrepreneur must have an intense desire to complete task or solve a problem. Creativity is an essential ingredient
6. **Initiative and Enterprising Personality:** An entrepreneur must have initiative, accepting personal responsibility for a good use of resources.
7. **Goal Setter:** An entrepreneur must be able to set challenging but realistic goals.
8. **Calculated Risk-Taking:** Ability An entrepreneur must be a moderate risk-taker and learn from any failures.

Types of Entrepreneurs

Entrepreneurs are classified as under different heads as given below. This helps the potential entrepreneurs to choose his own nature and style of entrepreneurship.

1. **Business Entrepreneur:** Business entrepreneurs are individuals who conceive an idea for a new product or service and then create a business to materialize their idea into reality. They tap both production and marketing resources in their search to develop a new business opportunity.
2. **Industrial Entrepreneur:** Industrial entrepreneur is essentially a manufacturer who identifies the potential needs of customers and tailors product or service to meet the marketing needs.
3. **Corporate Entrepreneur:** Corporate entrepreneur is a person who demonstrates his innovative skill in organising and managing a corporate undertaking. A corporate undertaking is a form of business organisation which is registered under some statute or Act which gives it a separate legal entity.
4. **Agricultural Entrepreneur :** Agricultural entrepreneurs are those entrepreneurs who undertake such agricultural activities as raising and marketing of crops, fertilizers and other inputs of agriculture According to the use of Technology.
5. **Technical Entrepreneur :** A technical entrepreneur is essentially an entrepreneur of “Craftsman type”. He develops a new and improved quality of goods because of his craftsmanship. He concentrates more on production than marketing.
6. **Incubative Entrepreneurship:** The generation of new sort of ideas and ventures within the premises of the organization is involved in this category of Entrepreneurship. It manages it in a productive way and makes sure the material gain for the business firm.

Ex: some of the tech companies like Microsoft and Nokia always discover and promote new technologies in a wide range of products and forms differentiation among all the categories of the products in the marketplace.

7. **Professional Entrepreneur:** Professional entrepreneur is a person who is interested in establishing a business but does not have interest in managing or operating it once it is established. **Professional entrepreneurs** generate ideas, develop them and sell it. They could also start a venture and sell it. **Professional entrepreneurs** usually have multiple ideas and never stick to one venture.

Types of Entrepreneurs

Based on their working relationship with the business environment they are functioning in, various types of entrepreneurs can be found. The chief categories are these four types of entrepreneurs, i.e.

1. Innovative entrepreneurs
2. Imitating Entrepreneurs
3. Fabian Entrepreneurs and
4. Drone Entrepreneurs.
5. Hustler entrepreneurship

1. **Innovative Entrepreneurs** : This type of an entrepreneur is more interested in introducing some new ideas into the market, organization or in the nation. They are drawn towards innovations and invest a lot of time and wealth in doing research and development. People like Steve Jobs and Bill Gates are examples of innovative entrepreneurs.
2. **Imitating Entrepreneurs**: These are often disparagingly referred to as copy cats'. They observe an existing successful system and replicate it in a manner where all the deficiencies of the original business model are addressed and all its efficiencies are retained. These entrepreneurs help to improve an existing product or production process and can offer suggestions to enhance the use of better technology. All small car manufactures are now the imitating entrepreneurs
 - a. Imitators are entrepreneurs who use others' business ideas as inspiration but work to improve them. They look to make certain products and services better and more profitable. An imitator is a combination between an innovator and a hustler. They are willing to think of new ideas and work hard, yet they start by copying others. People who are imitators have a lot of self-confidence and determination. They can learn from others' mistakes when making their own business.
3. **Fabian Entrepreneurs**: These are entrepreneurs that are very careful in their approaches and cautious in adopting any changes. They are not prone to sudden decisions and try to shy away from any innovations or change that doesn't fit their narrative. Kodak
4. **Drone Entrepreneurs**: These are entrepreneurs who do not like a change. They are considered as old school'. They want to do business in their own traditional or orthodox methods of production and systems. Such people attach pride and tradition to even outdated methods of doing business.

5. **Hustler entrepreneurship:** People who are willing to work hard and put in constant effort are considered hustler entrepreneurs. They often start small and work toward growing a bigger business with hard work rather than capital. Their aspirations are what motivates them, and they are willing to do what it takes to achieve their goals.

Based on Ownership:

1. **Private Entrepreneur:** A private entrepreneur is one who as an individual sets up a business enterprise. He / she is the sole owner of the enterprise and bears the entire risk involved in it.
2. **State Entrepreneur:** When the trading or industrial venture is undertaken by the State or the Government, it is called 'state entrepreneur.'
3. **Joint Entrepreneurs:** When a private entrepreneur and the Government jointly run a business enterprise, it is called 'joint entrepreneurs.'

Based on the Size of Enterprise

1. **Small-Scale Entrepreneur:** An entrepreneur who has made investment in plant and machinery up to Rs 1.00 crore is called 'small-scale entrepreneur.'
2. **Medium-Scale Entrepreneur:** The entrepreneur who has made investment in plant and machinery above Rs 1.00 crore but below Rs 5.00 crore is called 'medium-scale entrepreneur.'
3. **Large-Scale entrepreneur:** The entrepreneur who has made investment in plant and machinery more than Rs 5.00 crore is called 'large-scale entrepreneur.' The qualities of an entrepreneur

The qualities of an entrepreneur



Distinguish Between The Terms Entrepreneur And Entrepreneurship

Distinguish Between The Terms Entrepreneur And Entrepreneurship

BASIS FOR COMPARISON	ENTREPRENEUR	ENTREPRENEURSHIP
Meaning	An entrepreneur is an individual or a team thereof, having an innovative idea, and takes every step to turn the idea into reality, while bearing the risks.	Entrepreneurship is a risky activity of commencing a business usually a start up company, offering distinct products and services to the target customers, which may or may not get success.
What is it?	Person who has an idea and gives shape to it.	Process which gives shape to the idea.
Represents	An innovator, who chased the dream, till it becomes true.	A procedure through which an innovation is done.
Business Venture	He/She is the one who sets up the business venture, to turn a concept into reality.	It is the activity, which an entrepreneur undertakes to set up the business venture.

Intrapreneur

Meaning of Intrapreneur:

“A person within a large corporation who takes direct responsibility for turning an idea into a profitable finished product through assertive risk-taking and innovation” .An intrapreneur works inside a company to develop an innovative idea or project that will enhance the company's future. An intrapreneur is an inside entrepreneur, or an entrepreneur within a large firm, who uses entrepreneurial skills without incurring the risks associated with those activities.

Intrapreneurs are usually employees within a company who are assigned to work on a special idea or project, and they are instructed to develop the project like an entrepreneur would.

Pinchot defined intrapreneurs as “dreamers who do. Those who take hands-on responsibility for creating innovation of any kind, within a business”.

According to The American Heritage Dictionary intrapreneur, means “A person within a large corporation who takes direct responsibility for turning an idea into a profitable finished product through “assertive risk-taking and innovation”.

Difference between entrepreneur & intrapreneur

Difference between entrepreneur & intrapreneur

BASIS FOR COMPARISON	ENTREPRENEUR	INTRAPRENEUR
Meaning	Entrepreneur refers to a person who set up his own business with a new idea or concept.	Intrapreneur refers to an employee of the organization who is in charge of undertaking innovations in product, service, process etc.
Approach	Intuitive	Restorative
Resources	Uses own resources.	Use resources provided by the company.
Capital	Raised by him.	Financed by the company.
Enterprise	Newly established	An existing one
Dependency	Independent	Dependent
Risk	Borne by the entrepreneur himself.	Taken by the company.
Works for	Creating a leading position in the market.	Change and renew the existing organizational system and

Basis for comparison	Entrepreneur	Intrapreneur
Core objective	To innovate something new socio economic value	To increase competitive strength and market sustainability of the organization
Activity	Direct and total participation in the process of innovation	Direct participation which is more than delegation
Decision	Independent decisions to execute dreams	Collaborative decision to execute dreams
Operation	Operation from outside the organization	Operation from inside the organisation

Entrepreneurial Culture

Entrepreneurial culture implies a set of values, norms and traits that are conducive to the growth of entrepreneurship. It is the corporate culture that focuses on the emergence of new opportunities, the means of capitalizing of them, and the creation of the structure appropriate for pursuing them. Entrepreneurial culture should be differentiated from administrative culture.

An Entrepreneurial Culture consists of a group of individuals who have suppressed individual interests in an effort to achieve group success because group success will advance their individual interest.

The prerequisite for an entrepreneurial culture is a massive reorientation in policies and attitudes, and above all, in priorities. We need to encourage habits of flexibility, of continuous learning, and of acceptance of change as normal and as opportunity - for institutions as well as for individuals.

An entrepreneurial culture is an environment where someone is motivated to innovate, create and take risks. In a business, an entrepreneurial culture means that employees are encouraged to brainstorm new ideas or products. When work time is dedicated to these activities, it is called intrapreneurship.

Culture encompasses variety of elements such as values, norms and artifacts.

- **Values:** these are ideas about what is important in life. They guide the society.
- **Norms:** they are expectations about how people will behave in different situations. Norms that society enforces are called laws.
- **Artifacts:** these refers to the material culture. They are derived from the cultural norms and values.

Example: some invention that affected western culture in the 20th century were television and internet.

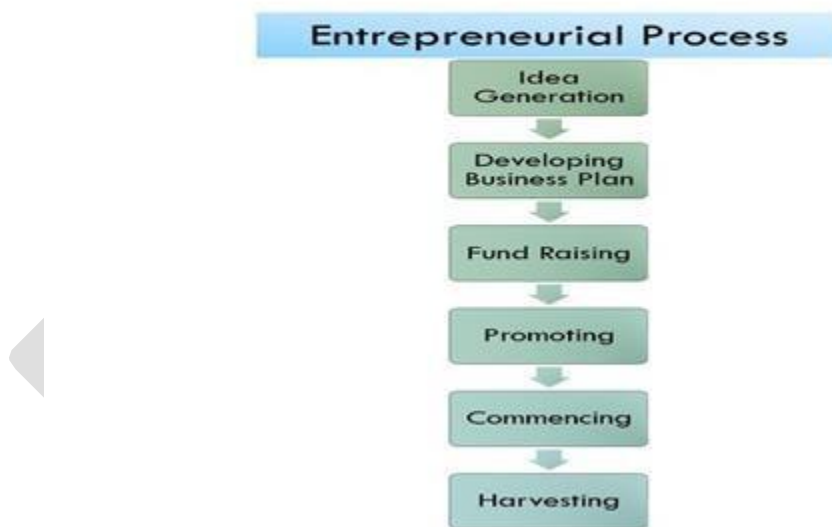
The Indian entrepreneurial spirit has risen remarkably as India stands third amongst the fastest growing startup countries worldwide - just after the US and the UK. Digitization is playing a vital role in this scenario and has provided ample opportunities to develop Indian online market. In fact semi-urban and rural areas are on their way to get more focus than selected few metro cities.

Government of India has started several flagship programmes to encourage entrepreneurship culture. 'Start Up India' campaign aims to create start-ups in all districts, blocks and panchayats around the country.

Atal Innovation Mission (AIM) including Self-Employment and Talent Utilization (SETU) serves as a platform for promotion of world-class Innovation Hubs, start-up businesses and other self-employment activities, particularly in technology driven areas. These are bringing together academicians, entrepreneurs and researchers to collaborate on concepts that could potentially drive economic growth and encourage more people to become entrepreneurs.

Entrepreneurship process

- Entrepreneurship is the process or activity, of initiating, developing, managing and operating a startup company, while taking all the risks involved, so as to make profits. It is one of the four factors of production, the other being land, labour, capital.



Entrepreneurship process is a defined sequence of ideas, techniques, and plans and programmed essential for establishing a new venture. The entrepreneurship is responsible for identifying, evaluating, developing and managing different resources.

Stages in Entrepreneurial Process

Stage I: Perceiving, identifying and evaluating Opportunity

- a) Creation & scope of opportunity
- b) Perceived and actual worth of the opportunity
- c) Risks and profiles involved in the opportunity •Competitors analysis

Stage II: Drawing up a Business Plan

- a) Executive Summary
- b) Concept of the business
- c) Management Team
- d) Production / Marketing & Sales / Finance Plans
- e) Structure and operation

Stage III: Marshalling Resources Stage

IV: Creating the Enterprise Stage

V: Consolidation and Management

- a) Critical factors to success
- b) Management Style
- c) Identify present & potential Problems
- d) Implementing a control system
- e) Professionalize the management
- f) Get into new markets

Stage I

An entrepreneurial process begins with the idea generation, wherein the entrepreneur identifies and evaluates the business opportunities. The identification and the evaluation of opportunities is a difficult task; an entrepreneur seeks inputs from all the persons including employees, consumers, channel partners, technical people, etc. to reach to an optimum business opportunity.

Once the opportunity has been decided upon, the next step is to evaluate it. An entrepreneur can evaluate the efficiency of an opportunity by continuously asking certain questions to himself, such as, whether the opportunity is worth investing in, is it sufficiently attractive, are the proposed solutions feasible, is there any competitive advantage, what are the risk associated with it.

Stage II

Once the opportunity is identified, an entrepreneur needs to create a comprehensive business plan. A business plan is critical to the success of any new venture since it acts as a benchmark and the evaluation criteria to see if the organization is moving towards its set goals. An entrepreneur must dedicate his sufficient time towards its creation, the major

components of a business plan are mission and vision statement, goals and objectives, capital requirement, a description of products and services, etc. A well drafted business plan serves as a road map to the entrepreneur to guide and monitor his/her activities towards the set goals.

Stage III

The third step in the entrepreneurial process is resourcing, wherein the entrepreneur identifies the sources from where the finance and the human resource can be arranged. Here, the entrepreneur finds the investors for its new venture and the personnel to carry out the business activities.

The resources may be as follows,

1. Technical resources need for production purpose in order to develop quality products.
2. Financial resources like cash-in-hand equity and borrowing authorities.
3. Physical resources in the form of assets such as buildings machinery equipment, and vehicles.
4. Human resources including skilled and experienced employees and workers with emotional and intellectual abilities.
5. Intangible resources such as information, networks, protected patents, latest technology, and brand recognition

Stage IV

Once the funds are raised and the employees are hired, the next step is to initiate the business operations to achieve the set goals. First of all, an entrepreneur must decide the management structure or the hierarchy that is required to solve the operational problems when they arise.

Stage IV

The final step in the entrepreneurial process is harvesting wherein, an entrepreneur decides on the future prospects of the business, i.e. its growth and development. Here, the actual growth is compared against the planned growth and then the decision regarding the stability or the expansion of business operations is undertaken accordingly, by an entrepreneur. In the last stage of entrepreneurship procured resources are utilized for effective implementation of business plan.

Along with implementing business plan management of the enterprise is also crucial. For effective management of the enterprise entrepreneur develops an appropriate organizational structure and style key success factors are also determined in this stage.

This is the most challenging stage of entrepreneurship as some entrepreneurs fail to manage and grow the enterprise.

Creativity and Innovation

Creativity

Creativity is the “ability to bring something new into existence”. This definition emphasizes the “ability”, not the “activity”, of bringing something new into existence.

A person may therefore conceive of something new and envision how it will be useful, but not necessarily take the necessary action to make it a reality. Innovation is the process of doing new things, but creativity is a prerequisite to innovation.

Creative Process Model

Creative Process Model



Innovation

Entrepreneurial innovation deals with the introduction of new concept, a new way of doing things, or a new approach. Innovation can also be in terms of new technology, new techniques of production, new sources and types of raw materials, novel machinery, new labour saving devices, new packaging techniques and packaging materials, new way of advertising, product development, new application of existing product and even developing a new market

Innovation refers to the process of bringing new, problem solving ideas into use. The ideas may be related to reorganizing, cutting costs, establishing new budgeting system, improving communication etc., Comprehensively speaking, innovation involves generation, acceptance and implementation of new ideas, processes, products or services.

For example, labour shortages led to mechanized equipment, Energy crises led to higher efficiency cars, Farmers' cooperatives were established during periods of excessive low farm prices.

Peter Drucker saying that innovation is an important tool of an entrepreneur, as he perceives new opportunity; convert this opportunity into attractive projects and become market leader. Innovation is the conversion of new knowledge into new products and services. Innovation is about creating value and increasing productivity, and therefore, making your business grow.

Innovation is the essential for entrepreneurial motivation. Innovation gives money. Innovation must be knowledge based. Scientific knowledge is the base for innovation.

An innovative entrepreneur becomes a market leader. His market share and profitability increase till the competitors catch that innovation and imitate it by bringing out “me-too” product in the market. The innovative entrepreneur hits the market with another innovation to retain his market leadership and high profit margin

Innovation process

The **innovation process** describes the path of translating new and/or existing knowledge into marketable solutions. Companies that pursue a successful **innovation process** have something decisive that puts them ahead of others - they have designed the path of an idea from generation, through development, to market entry.



STEPS OF INNOVATION PROCESS

Step 1. Idea Generation

It is where you decide on the concept that you want to develop and come up with reasons why you want to improve the idea. It is important for you to involve your employees and customers. Involving many knowledgeable people will enable you to get a better understanding of the market.

Step 2. Advocacy and Screening

Not every idea that is generated is worth implementing, for that reason; you must screen all the ideas presented. When screening, ensure you measure the benefits and risks of each idea to determine its viability. Any idea that has a futuristic approach should be chosen for the next stage.

Step 3. Experimentation

At this stage, the idea is tested using a pilot test. The test takes place within a targeted market. As you test your product, remember you want to know if the customers will accept it, if the price is acceptable, and if they like the innovation. The aim is to test if the idea is ideal and suitable for the company at a particular time. Therefore, if an idea is too complex for the organization or it's a premature idea, then it should not be implemented.

Apple Company once set aside an idea until the company knew it was the right time to release it to the public. When the Mp3 player was introduced in the market, Apple held

back the idea of an iPod. Apple released the iPod three years after the Mp3 had already hit the market. The iPod idea was premature for the market back then and would not have attracted as many customers as it did three years later.

So, even if you realize that your idea has been accepted in the market and the price is affordable, you might want to hold back until you are sure the time is right to release it in the market. It is only through the experimentation stage that you can get this information.

Step 4. Commercialization

When you get to this stage, just know the product is ready for the market. The major work at this stage is to persuade your target audience that the innovation is good for them. To do this, explain how the innovation will be of use to them, when it will be used, and demonstrate the benefits of the innovation using the prototypes. Be very specific about the idea in regards to any information that could attract customers to your idea.

Step 5. Diffusion and Implementation

Diffusion and implementation are two different stages: diffusion is where the company accepts the innovation and implementation is setting up everything that is needed to develop and utilize or produce the innovative idea. Knowledge brokers are used to diffuse the idea in an organization. The knowledge brokers communicate the specification about the idea and its usability. This information helps your employees to understand the idea in a deeper way. After they understand it, then they implement the idea.

Sources of New Idea

Some of the more frequently used sources of ideas for entrepreneurs include:

- a) Consumers,
- b) Existing Products and Services
- c) Distribution Channels
- d) The Government and Research and Development.
- e) **Consumers**
- f) Potential entrepreneurs should continually pay close attention customers. This attention can take the form of informally monitoring potential ideas and needs or formally arranging for consumers to have an opportunity to express their opinions. Care needs to be taken to ensure that the idea or need represents a large enough market to support a new venture.
- g) **Existing products and services/Existing organization:** Potential entrepreneurs and intrapreneurs should also establish a formal method for monitoring and

evaluating competitive products and services on the market. Frequently, this analysis that may result in a new product or service that has more market appeal.

- h) **Government:** The federal government can be a source of new product ideas in two ways. First, the files of the patent Office contain numerous new product possibilities. Although the patents themselves may not be feasible, they can frequently suggest other more marketable product ideas. Several government agencies and publications are helpful in monitoring patent applications. Other government agencies, such as the Office of Technical Services, assist entrepreneurs in obtaining specific product information.
- i) **Research and Development:** The largest source of new ideas is the entrepreneur's own "research and development."
- j) **Trade Shows, Fairs and Exhibitions:** These sources display new products and innovations in processes and services. An innovative entrepreneur can get product ideas to adapt or modify and produce with indigenous materials and technology.
- k) **Focus Groups:** Focus groups are good sources of product ideas. A moderator leads a group of people through an open, in-depth discussion rather than simply asking questions to solicit participant response; for a new product area, the moderator focuses the group's discussion in either a directive or a nondirective manner.

Ideas into Opportunities

The Product Planning and development process is divided into five major stages. These are:

1. **Idea Stage**
 2. **Concept Stage**
 3. **Product Development Stage**
 4. **Test marketing Stage**
 5. **Commercialization**
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1. **Idea Stage:** Promising new product/service ideas should be identified and impractical ones eliminated in this stage.
 2. **Concept Stage:** In this stage, the refined idea is tested to determine consumer acceptance. Initial reactions to the concept are obtained from potential customers or members of the distribution channel as appropriate.

3. **Product Development Stage:** In this stage, consumer reaction to the physical/service is determined. One tool frequently used in this stage is the consumer panel, in which a group of potential consumers is given product samples. Participants keep a record of their use of the product and comment on its virtues and deficiencies.
4. **Test marketing Stage:** This last stage in the evaluation process provides actual sales results, which indicate the acceptance level of consumers. Positive test results indicate the degree of probability of a successful product launch and company formation.
5. **Commercialization Stage:** In this stage products are launched on a mass scale in the market. Here the product life cycle: Introduction, Growth, Maturity and Decline stages are followed.

Creative Problem Solving: Creativity is an important attribute of a successful entrepreneur. Unfortunately, creativity tends to decline with age. Creativity can be unlocked and creative ideas and innovations generated by using any of the creative problem-solving techniques.

Creative Problem Solving may be defined as a problem solving technique that addresses a challenge or problem in a creative manner. The solution is creative because it is not obvious.

Creative problems solving techniques

1. Brainstorming
 2. Heuristics
 3. Reverse Brainstorming
 4. Synectics
 5. The Gordon Method
- **Heuristics:** A heuristic is a mental shortcut that allows people to solve problems and make judgments quickly and efficiently. Heuristic techniques are not a formal problem-solving model as such, but can be used as an approach to problem solving, where solutions are not expected to produce a perfect or optimal solution. Heuristics are physiological concepts for simple, efficient rules that help to explain how people solve problems.

For example, an educated guess is based on knowledge and experience, but excludes what you have yet to learn.

- **Brainstorming :** This is probably the most well known and widely used techniques for both creative problem solving and idea generation. Brainstorming can generate ideas

about a problem within a limited time frame through the spontaneous contribution of participants.

When using brainstorming, these four rules should be followed:

1. No criticism is allowed by anyone in the group-no negative comments.
 2. Freewheeling is encouraged- the wilder the idea, the better.
 3. Quantity of ideas is desired-the greater the number of ideas, the greater the likelihood emergence of useful ideas.
 4. Combination and improvements of ideas are encouraged; ideas of others can be used to produce
 5. still another new idea.
 6. The brainstorming session should be fun, with no one dominating or inhibiting the discussion.
- **Reverse Brainstorming** : This is a group method for obtaining new ideas while focusing on the negatives. In reverse brainstorming criticism is allowed as against the brainstorming approach. The technique is based on finding fault by asking the question “in how many ways can this idea fail”. With the fact that it focuses on the negative aspects of a product or service, the group’s morale must be maintained in the right direction. This approach can be effectively used before other creative techniques to stimulate innovative thinking.
 - **Synectics**: The term synectics is derived from a Greek word that roughly means "bringing together disparate ideas that may appear unrelated." Synectics aims to understand and facilitate the cooperation of different people with differing ideas in order to develop creative solutions to problems.

The study and application of synectics is based on three assumptions:

- a) The creative process is not relegated to innate talent or special ability. Instead, it is something that can be deliberately taught.
 - b) The creative process is the same, whether it's applied to works of art or scientific inquiry.
 - c) The creative process works the same way for both individual and group endeavors.
- **The Gordon Method**: The Gordon method involves developing new ideas when the individuals are unaware of the problem. This implies that group members do not know the exact nature of the problem. The entrepreneur begins by mentioning a general concept associated with the problem. The group thereafter responds by expressing a number of ideas. This can then lead to a concept being developed, followed by related concept through guidance by the entrepreneur.

- **Discover new ways to look at things differently.:** Imagine that you're vacuuming your house in a hurry because you've got friends coming over. Frustratingly, you're working hard but you're not getting very far. You kneel down, open up the vacuum cleaner, and pull out the bag. In a cloud of dust, you realize that it's full... again. Coughing, you empty it and wonder why vacuum cleaners with bags still exist!

James Dyson, inventor and founder of Dyson® vacuum cleaners, had exactly the same problem, and he used creative problem solving to find the answer. While many companies focused on developing a better vacuum cleaner filter, he realized that he had to think differently and find a more creative solution. So, he devised a revolutionary way to separate the dirt from the air, and invented the world's first bagless vacuum cleaner.

Module -2

Developing Business Model

What Is a Business Model?

The term business model refers to a company's plan for making a profit. It identifies the products or services the business plans to sell, its identified target market, and any anticipated expenses.

Magretta (2002) described business models as “stories that explain how enterprises work”.

They help new, developing companies attract investment, recruit talent, and motivate management and staff. Established businesses should regularly update their business plans or they'll fail to anticipate trends and challenges ahead. Business model is a description of how your business makes money. It's an explanation of how you deliver value to your customers at an appropriate cost.

Business model allows a business to take advantage of changing customer demands and expectations. A business model is a logical structure that supports the feasibility of the business. Designing a business model requires deep thought and analysis.

A business model provides a reason for the customer to choose the offering provided by your company over others. Business models focus on core strategy, customer interface, value network, and resources.

Example of Business Models

Consider a comparison of two competing business plans where two companies rent and sell movies. Both businesses made \$5 million in revenues after spending \$4 million on their inventories of movies. This means that each company makes a gross profit calculated as \$5 million minus \$4 million, or \$1 million. They also have the same gross profit margin, calculated as 20% of gross profit divided by revenues.

But things change with the arrival of the internet. Company B decides to stream movies online instead of renting or selling physical copies. This change disrupts the business model in a positive way. The licensing fees don't change, but the cost of holding inventory goes down considerably. In fact, the change reduces storage and distribution costs by \$2 million.

The new gross profit for the company is \$5 million minus \$2 million, or \$3 million. The new gross profit margin is 60%. Meanwhile, Company A fails to update its business plan and is stuck with a lower gross profit margin. As a result, its sales begin to slide downwards. Company B isn't even making more in sales, but it has revolutionized its business model, and that has greatly reduced its costs.

Business Model Innovation Example: Kodak

By focusing solely on existing revenue streams, however, organizations could face a fate similar to Kodak. The company once accounted for 90 percent of film and 85 percent of camera sales.

Although impressive, that was just the problem: Kodak viewed itself as a film and chemical business, so when the company's own engineer, Steven Sasson, created the first digital camera, Kodak ignored the business opportunity. Executives were nervous the shift toward digital would make Kodak's existing products irrelevant, and impact its main revenue stream. The company lost its first-mover advantage and, in turn, was later forced to file for bankruptcy.

Small Scale Industry

Small Scale Industries (SSI) are those industries in which the manufacturing, production and rendering of services are done on a small or micro scale. These industries make a one-time investment in machinery, plant, and equipment, but it does not exceed Rs.10 crore and annual turnover does not exceed Rs.50 crore.

Essentially the small scale industries are generally comprised of those industries which manufacture, produce and render services with the help of small machines and less manpower. These enterprises must fall under the guidelines, set by the Government of India. The objective of small scale industries is to adapt to the latest technology and to produce better quality products at lower costs.

Starting a **small scale industry** is a profitable business idea for it has certain merits for the entrepreneur as well as the economy of the nation. Despite being a labor-intensive industry, it requires less capital to start a small scale industry. Therefore, a lot of small entrepreneurs wish to **start a small scale industry** of their own.

For all those entrepreneurs who are thinking about starting a small scale industry, here are a few simple steps that could help them to begin with the business.

1 Selection of Products

By conducting a market research, one could decide the product that they want to manufacture. A product that has good market potential and profitability should be the one. Consider these factors while conducting market research:

1. *Should have a little or no competition*
2. *Should be innovative*
3. *Easy availability of raw materials*
4. *Government Policies regarding the product type should be clear/all right*
5. *Should be easily accessible to the market*
6. *Should be within your budget*

2 Location of Enterprise

While deciding on the location of the industry, availability of raw material, transportation costs and availability of land at cheaper rates are the most crucial points to be remembered (along with some more factors). In India, government also offers a relevant industrial estate with pre-built factory sheds/developed plots in order to make a room for integrated development of **small scale industries**.

3 Deciding the Organization Pattern

There are three main forms of ownership that **small scale industry** owners operate on: Proprietary, Partnership, and Company.

4 Project Appraisals

Project appraisal means the analysis of a scheme or project that has to be prepared keeping in mind the economic, financial, technical, market and managerial aspects to arrive at the most socially-feasible enterprise. It enables an entrepreneur to assess inputs required to assimilate in the future activities of the firm.

5 Registration with the Authorities

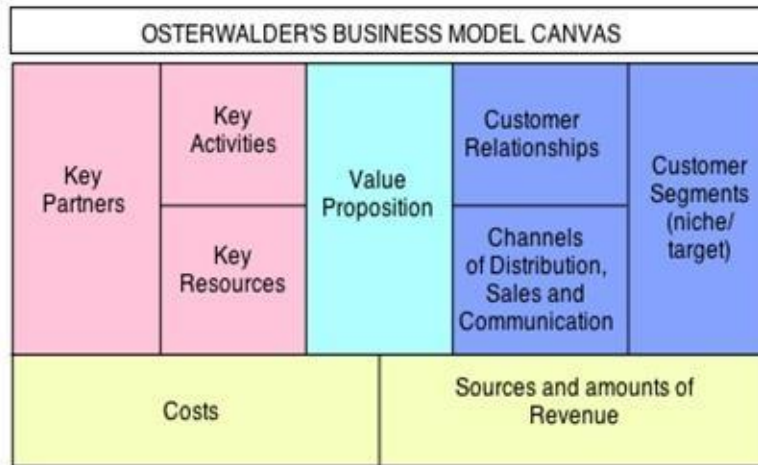
After finalizing the above steps, it's time to get the small scale industry registered with authorities like State Directorate of India, DGS&D, RBI, etc to get your industry recognized by the government.

BUSINESS MODEL

Osterwalder's Business Model

The business model canvas is a shared language for describing, visualizing, assessing and changing business models. It describes the rationale of how an organization creates, delivers and captures value. The canvas was invented by Alex Osterwalder a Swiss business theorist and entrepreneur as a part of his PhD research.

The model is in the form of a visual chart with various elements that describe the value proposition of an organisation, its infrastructure, market and finances. The objective of the model is to assist firms to align their activities through the illustration of potential trade-offs. Osterwalder's canvas has nine boxes: customer segments, value propositions, channels, customer relationships, revenue streams, key resources, key activities, key partnerships, and cost structure.



9 building blocks

1. Customer segments: To build an effective business model, a company must identify which customers it tries to serve. Various sets of customers can be segmented based on their different needs and attributes .

customer segments include:

- Mass market:** There is no specific segmentation for a company that follows the mass market element as the organization displays a wide view of potential clients: e.g. car.
- Niche market:** Customer segmentation based on specialized needs and characteristics of its clients: e.g. Rolex.
- Segmented:** A company applies additional segmentation within existing customer segment. In the segmented situation, the business may further distinguish its clients based on gender, age, and/or income.
- Diversify:** A business serves multiple customer segments with different needs and characteristics.

2. Value proposition refers to the product or service the firm intends to offer to its customers to meet their needs.

The value propositions may be:

Quantitative – price and efficiency

Qualitative – overall customer experience and outcome

3. Channels: A company can deliver its value proposition to its targeted customers through different channels.

Effective channels will distribute a company's value proposition in ways that are fast, efficient and cost-effective. An organization can reach its clients through its own channels (store front), partner channels (major distributors), or a combination of both.

4 Customer relationships: To ensure the survival and success of any businesses, companies must identify the type of relationship they want to create with their customer segments.

That element should address three critical steps on a customers relationship:

- 1) How the business will get new customers,
- 2) how the business will keep customers purchasing or using its services and
- 3) how the business will grow its revenue from its current customers.

Various forms of customer relationships include:

- a) **Personal assistance:** Assistance in a form of employee-customer interaction. Such assistance is performed during sales and/or after sales.
- b) **Dedicated personal assistance:** The most intimate and hands-on personal assistance in which a sales representative is assigned to handle all the needs and questions of a special set of clients.
- c) **Self service:** The type of relationship that translates from the indirect interaction between the company and the clients. Here, an organization provides the tools needed for the customers to serve themselves easily and effectively.
- d) **Automated services:** A system similar to self-service but more personalized as it has the ability to identify individual customers and their preferences.
An example of this would be Amazon.com making book suggestions based on the characteristics of previous book purchases.
- e) **Communities:** Creating a community allows for direct interactions among different clients and the company. The community platform produces a scenario where knowledge can be shared and problems are solved between different clients.
- f) **Co-creation:** A personal relationship is created through the customer's direct input to the final outcome of the company's products/services.

5 Revenue streams:

The way a company makes income from each customer segment. Several ways to generate a revenue stream:

- 1) Asset sale – (the most common type) Selling ownership rights to a physical good: e.g. retail corporations.
- 2) Usage fee – Money generated from the use of a particular service: e.g. UPS.

- 3) Subscription fees – Revenue generated by selling access to a continuous service: e.g. Netflix.
- 4) Lending/leasing/renting – Giving exclusive right to an asset for a particular period of time: e.g. leasing a car.
- 5) Licensing – Revenue generated from charging for the use of a protected intellectual property.
- 6) Brokerage fees – Revenue generated from an intermediate service between 2 parties: e.g. broker selling a house for commission.
- 7) Advertising – Revenue generated from charging fees for product advertising.

Infrastructure

6 Key activities: The most important activities in executing a company's value proposition. An example for Bic, the pen manufacturer, would be creating an efficient supply chain to drive down costs.

7 Key resources: The resources that are necessary to create value for the customer. They are considered assets to a company that are needed to sustain and support the business. These resources could be human, financial, physical and intellectual.

8 Partner network: In order to optimize operations and reduce risks of a business model, organizations usually cultivate buyer-supplier relationships so they can focus on their core activity. Complementary business alliances also can be considered through joint ventures or strategic alliances between competitors or non-competitors.

9 Cost structure: This describes the most important monetary consequences while operating under different business models. Classes of business structures:

- 1) Cost-driven – This business model focuses on minimizing all costs and having no frills: e.g. low-cost airlines.
- 2) Value-driven – Less concerned with cost, this business model focuses on creating value for products and services: e.g. Louis Vuitton, Rolex.
- 3) Characteristics of cost structures:
- 4) Fixed costs – Costs are unchanged across different applications: e.g. salary, rent.
- 5) Variable costs – Costs vary depending on the amount of production of goods or services: e.g. music festivals.
- 6) Economies of scale – Costs go down as the amount of goods are ordered or produced.
- 7) Economies of scope – Costs go down due to incorporating other businesses which have a direct relation to the original product.

BUSINESS PLAN

- ❖ Business plan is a written document prepared by entrepreneur that describes all the relevant external and internal elements involved in starting new venture. It is an integration of functional plans such as Marketing, Finance, Manufacturing and Human resource plan.
- ❖ A business plan is a blue print of step by step process that would be followed to convert business idea into successful business venture.

A business plan is a written statement of what you are going to achieve in your business and how you are going to achieve it. A business plan is a detail description of what business you want to take up.

- a) Business goals & objectives.
- b) What product you should produce or what service you should offer.
- c) To whom these are to be delivered.
- d) How the business will be profitable in the short & long term.
- e) What is your business strategy.

An entrepreneur planning to market a new high-tech machine will need a comprehensive business plan, largely because of the nature of the product and market. The business plan is valuable to the entrepreneur, potential investors, or even new personnel, who are trying to familiarize themselves with the venture, its goals and objectives.

The business plan is important to these people because:

- a) It helps determine the viability of the venture in a designated market.
- b) It provides guidance to the entrepreneur in organizing his or her planning activities.
- c) It serves as an important tool in helping to obtain financing.

Business plan includes

1. Owner details
2. Description of the business
3. Outline of the market
4. Evaluation of competition
5. How the business will be organised
6. Proposed marketing mix
7. Premises & Equipment

8. Sources of Capital
9. Cash Flow Forecast
10. Future Plans

Who should write the plan?

The business plan should be prepared by the entrepreneur.

The entrepreneur may consult with many other sources in its preparation, such as lawyers, accountants, marketing consultants, and engineers.

OBJECTIVES OR IMPORTANCE OF BUSINESS PLAN

1. To give direction to the vision formulated by the entrepreneur
2. To objectively evaluate the prospectus of business
3. To monitor the progress after implementing business plan
4. To persuade others to join business
5. To seek loans from financial institutions
6. To visualize concept in terms of market availability, organizational, operational, and financial feasibility
7. To guide entrepreneur in actual implementation of plan
8. To identify actual strength and weakness of plan
9. To identify challenges in terms of opportunities and threats from the external markets.
10. To clarify ideas and identify gaps in management information about their business, competitors and market.
11. To identify the resources that would be required to implement the plan
12. To document ownership arrangements, future prospectus and projected growth of the business venture.

Business Plan Process

Business Plan Process



BUSINESS PLANNING PROCESS

I. Idea generation : is the first step in the business planning process. This step differentiates entrepreneur from usual business. An entrepreneur may come up with new business idea or may bring in value addition to existing product in the market. Sources of new idea for entrepreneurs are :

- Consumers/ customers
- Existing companies
- Research and development
- Employees
- Dealers, retailers

II. Environmental scanning :

once the entrepreneur is through the idea generation stage, next entrepreneur is required to conduct environmental scanning which includes analyzing external and internal environment that affects business idea.

1. External environment comprises of :

- ❑ **Socio cultural appraisal** : it gives brief overview about the culture and tradition existing in society. it is comprised of values and beliefs of people which determines the acceptance of product by customer in the market.
- ❑ **technological appraisal** : it assess various technological options available to convert an idea to product. it also provides an brief overview about technological updation.
- ❑ **Economic appraisal** : it assess the status of the society in terms of economic development, per capita income, national income, consumption pattern in the business.
- ❑ **Demographic appraisal** : it assess the population pattern of given geographic area. Which includes sex, age profile, distribution etc.
- ❑ **Government appraisal** : it assess the various legislations, policies, incentives formulated for various industries.

2. Internal environment :

- **Raw material** : it refers to in terms of availability of raw material required for the process of production. If the material availability is at distance place and is very expensive then entrepreneur should give second thought to the same.
- **Production/ operation** : it assess the availability of various machineries, equipments, tools and techniques that would be required for production.
- **Finance** : it studies total requirement of finance in terms of start up expenses, fixed expenses, running expenses etc.
- **Market** : refers to study on potential customer and target customers in market.
- **Human resource** : refers to demand and supply of required human resource in market and estimation of expenses to be incurred on human resource.

III. Feasibility analysis : refers to conducting detailed analysis in relation to every aspect relevant to business and determining credibility of business.

- **Market analysis** : is conducted to estimate the demand and market share for proposed product and service in future. Demand and market analysis is based on factors like consumption pattern, availability of substitute goods and services etc.

Technical and operational analysis : is to assess operational ability of proposed business enterprise.

Technical or operational analysis collects data on following parameters :

1. Material availability

2. Material requirement planning
3. Plant location
4. Plant capacity
5. Machinery and equipment

Marketing plan : lays down the strategies of marketing which can lead to success of business plan. Strategies are in terms of marketing mix which includes (product, price, place, promotion) which determines the potential demand of customers for product in the market.

Production plan / operational plan : production plan is drafted for manufacturing sector where as operation plan is designed for business into service sector. It comprises of strategies on parameters such as location layout, cost, availability of material, human resource etc.

Organizational plan : defines type of ownership pattern in company, sole trading concern, family business, private or public limited company etc.

- **Financial plan** : financial plan indicates the requirement of proposed business enterprise. Which includes fund flow, cash flow statement, break even point, projected ratio, projected balance sheet.

IV. Project report preparation : project report is a written document that describes step by step strategies involved in starting and running business.

V. Evaluation , control and review : as company operates in dynamic environment company has to monitor and review strategies and policies to stay in line with competition existing in market.

Advantages of business planning

1. The systematic business planning helps the business to derive its advantages and get benefits out of them.
2. Business Planning **helps the Company to formulate objectives and goals** clearly.
3. Business planning **helps to view the organization in total** rather than department-wise.
4. Business plan **aims at the long-range plan** rather than short-range plan.
5. Business plan **integrates the company plan with the national plans** and priorities.
6. Business plan takes into consideration the environmental factors. Technological factors influence the business plan significantly. Technology has been upgraded continuously.
7. A good business plan helps an organization to be **aware of the changes in political trends** and their impact in business at national and international levels.
8. Effective business plan certainly **contributes for the achievement of high rate of profits** and increases in earning per share.
9. Business plan helps to determine **potential growth and profit**.

Project Report

Project report preparation is very important because it provides very useful information for better business decision. It works like a written plan for forward work. It includes the aim of business project. A project report helps to understand the opportunities, problems and weakness of the business.

Essentials

1. It should be sequentially arranged
2. Should be exhaustive
3. Should not be very lengthy and subjective
4. Should be appropriately made from two to ten years
5. Should justify the financial needs and financial projections
6. Should justify the market prospects and demands

Sequential Stages of Project Formulation

Project formulation divides the process of project development into eight distinct and sequential stages. These stages are:

1. General Information
2. Project Description
3. Market Potential
4. Capital Costs and Sources of Finance.
5. Assessment of Working Capital requirements.
6. Other Financial aspects
7. Economic and Social Variables.
8. Project Implementation

Final Project Report with Feasibility Study

Feasibility literally means whether some idea will work or not. It knows beforehand whether there exists a sizeable market for the proposed product/service, what would be the investment requirements and where to get the funding from, whether and wherefrom the necessary technical know-how to convert the idea into a tangible product may be available, and so on.

In other words, feasibility study involves an examination of the operations, financial, HR and marketing aspects of a business on ex ante (Before the venture comes into existence) basis.

Feasibility study report is prepared to support the investment proposal. Feasibilities for the various aspects related to technical, commercial and financial are examined in detail by the experts and consultants brought in feasibility study report. Feasibility study report is termed as a **techno economic feasibility** study. It is the primary report for the formulation of the investment

proposal. A feasibility study is an analysis that takes all of a project's relevant factors into account—including economic, technical, legal, and scheduling considerations—to ascertain the likelihood of completing the project successfully. Need to examine all the facets of the feasibility of the proposed project idea, viz., marketing, technical, financial, economic and legal.

MARKET ANALYSIS

Market analysis is primarily concerned with the aggregate demand of the proposed product/service in future and the market share expected to be captured.

It is a study of knowing who all comprise your customers, for this you require information on: -

1. Consumption trends. –
2. Past and present supply position –
3. Production possibilities and constraints –
4. Imports and Exports Competition –
5. Cost structure –
6. Elasticity of demand –
7. Consumer behaviour, intentions, motivations, attitudes, preferences and requirements
8. Distribution channels and marketing policies in use
9. Administrative, technical and legal constraints impinging on the marketing of the product

FINANCIAL ANALYSIS

The objective of financial analysis is to ascertain whether the proposed project will be financially viable in the sense of being able to meet the burden of servicing debt and whether the proposed project will satisfy the return expectations of those who provide the capital. While conducting a financial appraisal certain aspects has to be looked into like: -

1. Investment outlay and cost of project
2. Means of financing
3. Projected profitability
4. Break- even point
5. Cash flows of the project
6. Investment worthiness judged in terms of various criteria of merit
7. Projected financial position

TECHNICAL ANALYSIS

The issues involved in the assessment of technical analysis of the proposed project may be classified into those pertaining to inputs, throughputs and outputs.

1. **Input Analysis:** Input analysis is mainly concerned with the identification, quantification and evaluation of project inputs, that is, machinery and materials.

2. **Throughput Analysis:** It refers to the production/operations that you would perform on the inputs to add value. Usually, the inputs received would undergo a process of transformation in several stages of manufacture.
3. **Output Analysis:** this involves product specification in terms of physical features- colour, weight, length, breadth, height; functional features; chemical material properties; as well as standards to be complied with such as BIS, ISI, and ISO etc.

ECONOMIC ANALYSIS

Economics is the study of costs- and- benefits. In regard to the feasibility of the study the entrepreneur is concerned whether the capital cost as well as the cost of the product is justifiable vis-à-vis the price at which it will sell at the market place.

For example, technically, silver can be extracted from silver bromide, (a chemical used for processing the X-ray and photo films); but, the cost of extraction is so high that it would not be economically feasible to do so. Economic feasibility leads one to the unit cost of the product,

ECOLOGICAL ANALYSIS

In recent years, environmental concerns have assumed a great deal of significance especially for projects, which have significant ecological implications like power plants and irrigation schemes, and for environment polluting industries (like bulk drugs, chemicals and leather processing).

What is the likely damage caused by the project to the environment?

LEGAL AND ADMINISTRATIVE

The entrepreneur has to be sure also of the administrative and legal issues involved in the project. These include, choice of the form of business organisation, registration and clearances and approvals from the diverse authorities.

Forms of Organisation

1. Sole Proprietor
2. Partnership
3. Company
4. Co-operative

Clearances and Approvals: Setting up of an industrial unit requires the entrepreneur to obtain a number of clearances and approvals regarding land use, pollution control and safety.

Ex: Product Specific Clearances

1. For established a printing press-District Magistrate
2. For pesticides – Central / State Agricultural Department Ministry of Agriculture

3. For safety matches / fireworks – licence under Explosives Act from Directorate of Explosives
4. For household electrical appliances – licence from the Bureau of Indian Standards
5. Wood working industry within 8 km from forest – District Forest Officer
6. For Drugs and Pharmaceuticals – drug license from State Drug Controller

Preparing a model project report for starting a new venture

The findings of the feasibility analysis may be compiled in a project report. Contents of a Project Report are;

1. **General Information** A project report must provide information about the details of the industry to which the project belongs to. It must give information about the past experience, present status, problems and future prospects of the industry.

It must give information about the product to be manufactured and the reasons for selecting the product if the proposed business is a manufacturing unit. It must spell out the demand for the product in the local, national and the global market. It should clearly identify the alternatives of business and should clarify the reasons for starting the business.

2. **Executive Summary** :A project report must state the objectives of the business and the methods through which the business can attain success. The overall picture of the business with regard to capital, operations, methods of functioning and execution of the business must be stated in the project report. It must mention the assumptions and the risks generally involved in the business.

3. **Organization Summary** :The project report should indicate the organization structure and pattern proposed for the unit. It must state whether the ownership is based on sole proprietorship, partnership or joint stock company. The name, address, age qualification and experience of the proprietors or promoters of the proposed business must be stated in the project report.

4. **Project Description** :A brief description of the project must be stated and must give details about the following:

1. Location of the site,
2. Raw material requirements,
3. Target of production,
4. Area required for the work shed,
5. Power requirements,

6. Fuel requirements,
7. Water requirements,
8. Employment requirements of skilled and unskilled labour,
9. Technology selected for the project,
10. Production process,
11. Projected production volumes, unit prices,
12. Pollution treatment plants required.

5. **Marketing Plan:** The project report must clearly state the total expected demand for the product. It must state the price at which the product can be sold in the market. It must also mention the strategies to be employed to capture the market.

Project report must state the following:

1. Type of customers,
2. Target markets,
3. Nature of market,
4. Market segmentation,
5. Future prospects of the market,
6. Sales objectives,
7. Demand for the product in the local, national and the global market

6. **Capital Structure and operating cost:** The project report must describe the total capital requirements of the project. It must state the source of finance, it must also indicate the extent of owner's funds and borrowed funds.

7. **Management Plan:** The project report should state the following.

- a. Business experience of the promoters of the business,
- b. Details about the management team,
- c. Duties and responsibilities of team members,
- d. Current personnel needs of the organization,
- e. Methods of managing the business,

- f. Plans for hiring and training personnel,
- g. Programmes and policies of the management.

8. Financial Aspects: In order to judge the profitability of the business a projected profit and loss account and balance sheet must be presented in the project report.

It must show the estimated sales revenue, cost of production, gross profit and net profit likely to be earned by the proposed unit. In addition to the above, a projected balance sheet, cash flow statement and funds flow statement must be prepared every year and at least for a period of 3 to 5 years

9. Technical Aspects: Project report provides information about the technology and technical aspects of a project. It covers information on Technology selected for the project, Production process, capacity of machinery, pollution control plants etc.

10. Project Implementation: Every proposed business unit must draw a time table for the project. It must indicate the time within the activities involved in establishing the enterprise can be completed.

11. Social responsibility: The proposed units draws inputs from the society. Hence its contribution to the society in the form of employment, income, exports and infrastructure. The output of the business must be indicated in the project report.

FORMAT

Cover Sheet (Name of company, address, Promoters)

Table of Contents

Executive Summary (2-3 pages)

- i. Introduction
- ii. Financial Performance
- iii. Balance Sheet Analysis
- iv. Proposed Project
- v. Project profitability and analysis

Company Details

- i. History

- ii. Manufacturing facilities
- iii. Promoters
- iv. Shareholding Pattern
- v. Board of Directors
- vi. Key Executives

VII Major Products

VIII Major customers

IX Details of divisions

X Group Units

Operational Details

- i. Capacity and Utilization
- ii. Profit and Loss Account
- iii. Balance Sheet
- iv. Term loan and advances
- v. Working Capital loan
- vi. Marketing and Distribution Network of the company.
- vii. Marketing Strategy
- viii. Export Sales
- ix. Trends in selling prices.
- x. Details of sub-contractors, out-sourcing etc.

Project Details

- i. Proposed Project
- ii. Orders and Enquiries
- iii. Location
- iv. Manufacturing Process

- v. Technical Feasibility/Superiority
- vi. Technical Know-how
- vii. Inputs for Production
- viii. Manpower
- ix. Power
- x. Water
- xi. Marketing
- xii. Auxiliary Services

Project Cost

- i. Land
- ii. Building and Civil Works
- iii. Plant and Machinery
- iv. Preoperative Expenses
- v. Margin Money for working capital

Means of Finance

- i. Equity-Share capital
- ii. Internal Accruals
- iii. Deposits
- iv. Debt
- v. Other Sources

Project Status

- i. Implementation Schedule
- ii. PERT and CPM Analysis
- iii. Current Status
- iv. Government Approvals

Profitably and Risk Analysis

- i. Financials of the Project
- ii. Financials of the Company
- iii. Analysis of Break-even point, return on investment, payback period, internal rate of return and sensitivity.
- iv. Major risk factors
- v. SWOT Analysis

Employment Generation-Direct/Indirect

Conclusion

Annexure

- i. Curriculum Vitae of the owners
- ii. Ownership Agreement
- iii. Certificate from pollution board.
- iv. Memorandum of Understanding
- v. Articles of Association
- vi. Any other documents that help in marketing the project viability.
- vii. Organizational Chart
- viii. Details of group units
- ix. Statutory sanctions/approvals

Module-3

Managing and Growing New Venture

Entrepreneurial Venture

- Launching a new venture and becoming an entrepreneur is an exciting and challenging task. Entrepreneurs learn mainly from experience, so the only real way to become an entrepreneur is to get out there and do it.
- Entrepreneurial ventures have three common traits. These are innovation, creation of value and focus towards growth.

What is Entrepreneurial Venture ?

- An entrepreneurial venture is simply referred to the establishment of a new commercial business, social business or other such form of businesses. These ventures can also be termed as a 'new venture' or 'new enterprise'.

Creating new venture

- The most effective way to approach a new business venture is to create a unique product or service-one that is not being offered today but would be in great demand if it were. The best way is to adapt something that is currently on the market or extend the offering into an area in which it is not presently available.

The first approach is referred as new –new approach, the second as new-old.

CREATING AWARENESS OF THE NEW VENTURE- EARLY MANAGEMENT DECISIONS

- In the early stages, the entrepreneur should focus on developing awareness of the products offered.

Publicity: Many local media encourage entrepreneurs to participate in their programs. The entrepreneur can increase the opportunity for getting exposure by preparing a news release and sending it to as many media sources as possible. For radio or TV, the entrepreneur should identify programs that may encourage local entrepreneurs to participate. Free publicity can only introduce the company. Advertising can be focused on specific customers.

- **Internet Advertising:**

The Internet is an excellent medium to create awareness and to effectively support early

launch strategies. Creating a website is the most important first stage. Direct sales from the website may also be available. Significant advertising is needed to create interest and awareness of the existence of the website.

- **For example**, with the advent of internet marketing and selling, e-commerce of hotel rooms for of bills, companies like Flipkart, E-bay (for online purchase of products), and other entrepreneurial businesses (online booking of stay), Paytm (making online payment of recharge, etc.), etc., have emerged.
- **Trade Shows:**
- Every industry has a trade or professional association that sponsors annual trade shows. Although creating a booth can be very expensive, trade shows are where hundreds of thousands of people observe or identify trends in their industry.
- **Selecting an Advertising Agency:**

Advertising agencies can provide many promotional services. The advertising agency is an independent business organization composed of creative and business people who

develop, prepare, and place advertising in media for its customers. The agency can provide assistance in marketing research. It is important to determine whether the agency can fulfill all of the needs of the new venture. A checklist of items that the entrepreneur may consider in evaluating an agency is useful.

Managing early growth of the new venture- new venture expansion strategies and issues.

- Expanding a new venture can be a daunting task, but it can also be one of the most rewarding. However, it's important to have a solid strategy in place to ensure a successful expansion.
- Starting a new venture can be an exciting and fulfilling experience, but growing that venture can be even more rewarding. Whether you're expanding your business into new markets, launching new products or services, or simply growing your customer base, the process of expansion can be complex and challenging.

Key strategies and issues to consider when expanding your new venture.

1. Conduct Market Research

- Before expanding, research the target market to ensure there is demand for the product/service. Look at trends, competitors, and consumer behavior to determine the feasibility of expansion.

2. Develop a Clear Business Plan

- Create a detailed plan outlining the expansion strategy, including objectives, budget, timeline, and marketing strategy. This will help ensure that all stakeholders are on the same page and working towards the same goals.

3. Identify the Right Funding Sources

- Determine the amount of capital required for expansion and explore various funding options such as venture capitalists, angel investors, bank loans, crowd funding, or other sources.

4. Build a Strong Team

- Hire and train new staff or develop existing employees to support the expansion. Ensure that team members have the necessary skills and experience to execute the plan effectively.

5. Leverage Technology

- Implement new technologies and tools to streamline processes, improve efficiency, and enhance the customer experience. This can include automation, software, cloud computing, or other innovations.

6. Expand Product or Service Offerings

- Diversify the product or service offerings to appeal to a broader customer base. This can involve developing new products or services, improving existing offerings, or entering new markets.

7. Establish Partnerships and Alliances

- Forge partnerships with complementary businesses to expand the customer base and tap into new markets. This can include strategic alliances, joint ventures, or other types of partnerships.

8. Develop a Strong Brand Image

- Build a strong brand image to attract and retain customers. This can involve branding efforts such as advertising, social media, public relations, and other marketing initiatives.

9. Monitor Performance and Adjust Strategies

- Track performance metrics and adjust strategies as needed to ensure success. This can involve monitoring sales, customer feedback, and other indicators of success.

10. Foster a Culture of Innovation

- Encourage a culture of innovation and experimentation within the organization to continually improve products, services, and processes. This can involve providing training, rewards, and other incentives for innovation.

Key issues to consider while venture expansion

- **Financial Planning**

Expanding the venture can be expensive, and it's important to have a solid financial plan in place before you begin. This should include projected expenses, cash flow projections, and a realistic budget.

- **Human Resources**

Expanding your venture will likely require additional human resources, whether it's hiring new employees or retraining existing staff. It's important to consider how the expansion will affect your existing team and what additional skills and resources you'll need to successfully expand.

- **Legal and Regulatory Compliance**

Expanding your venture may require compliance with new legal and regulatory requirements. It's important to understand the legal and regulatory landscape in the new market and to ensure that you are compliant with all relevant laws and regulations.

Getting Financing or Funding for the New Venture

Finance is one of the important prerequisite to start an enterprise or capital is work as lubricant in a production process. The success of new venture is very much depend on availability of finance or capital. This taken by the entrepreneur well in advance Regarding the future financial aspects of his/her enterprise is called financial planning or it deals with following questions like Amount of money needed, Sources of money, Time when money required.

A financial plan is a document that details a person's current financial circumstances and their short- and long-term monetary goals. It includes strategies to achieve those goals. The plan should be comprehensive and highly customized. It should reflect an individual's personal and family financial needs, investment risk tolerance, and plan for saving and investing.

Estimating the financial needs of a new venture and preparation of a financial plan

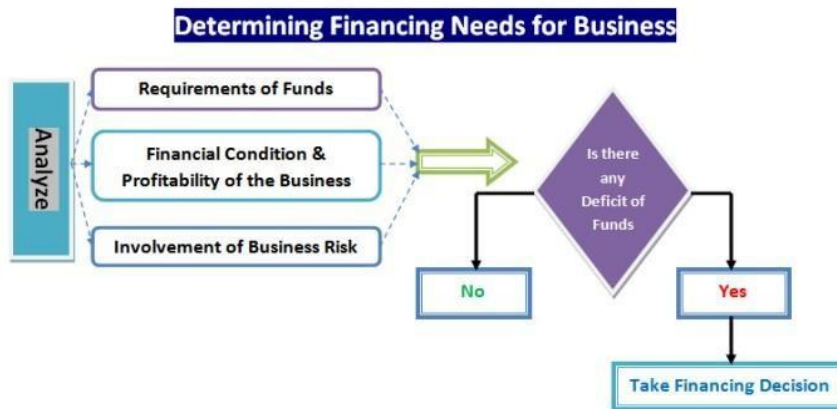
How do entrepreneurs describe the financial elements of their new venture?

- Entrepreneurs build a financial plan to determine the economic potential for their venture. This plan provides an estimate of the potential of the venture.
- Any estimate is based on a set of assumptions regarding sales revenues and costs. Using the best available information and their intuition, entrepreneurs calculate the potential profitability of the venture.
- Furthermore, they need to determine the flow of cash monthly to identify the cash investments that will be required over a two or three-year period. Also, an income statement and a balance sheet are required to demonstrate profitability and liquidity.

How to determine your new company's financial needs

- The success of a business depends on the effective use of financial and non-financial resources. It is the financial manager's responsibility for *determining financial needs for business* and to ensure the right borrowing and financing decision. Holding an optimum level of funds is not an easy task.
- Every manager has to go through a systematic process to decide how much money should be kept on hand as cash and identify whether there is sufficient money to continue business operations.

Three things need to be analyzed when determining financing needs for business these are



• Requirements of Funds

First of all, it is required to check how much fund is required for the business over a period of time. This can be estimated through forecasting or trend analysis. Remember the requirements of funds depend upon the type of business and business operations.

• Identify the Profitability of the Business

After analyzing the requirement of funds, the financial condition of business for a particular date should be measured where the asset and liability position can be seen. In addition to this, the profitability of the business also required to be checked. If the profitability is high then there will be more funds to spend and the owner of the business will eager to spend more as he is getting more profit.

- **Risk Involved with Business:** Here we consider the business risk which arises when a business is unable to generate sufficient revenue by using its resources to compensate its operating expenditures. If a business risk is high then it is needed to acquire funds through financing.

Classification of Financial Needs

ON THE BASIS OF EXTENT of PERFORMANCE

- **Fixed Capital:** The money invested in current assets like raw material, finished goods, machinery, equipment, furniture etc.
- **Working Capital:** Money required for day to day operations of business/enterprise.

ON THE BASIS OF PERIOD OF USE:

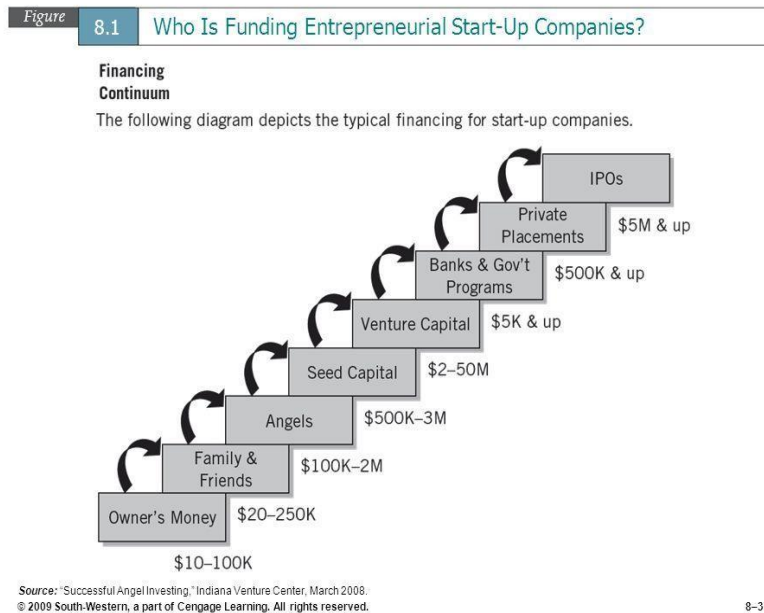
- **Long Term Capital:** Money whose repayment is arranged for more than five years in future.
- **Short Term Capital:** Borrowed capital/money that is to be repaid within one year.

Sources of Financing

Finance/capital can be arranged from two major Sources:

Internal Source: Refer to the owner's own money known as equity. This amount fulfill very limited requirement of enterprise or it is very thin.

External source : Arranged from financial Complete requirement of enterprise and generally taken for long period.



INTERNAL SOURCE

- **Retained Profit:** Profit earned by entrepreneur may be used to finance the future needs of firm.
- **Reducing Working Capital:** By judging the exact requirement, part of working capital may be used For financing the enterprise.
- **Sale of Assets:** By selling fixed assets which are of little use, fund may obtained.
- **Personal Savings of the Owner:** Like PF, insurance policy, investment, building may be used for fund.
- **Deferred Credit:** goods, machine, plant may be\ taken on credit basis for a particular time period by giving bank security to supplier.

EXTERNAL SOURCE:

1. Deposits or borrowings from Friend/Relatives
2. Credit facilities from commercial banks
3. Terms loans from financial institutions.
4. Mortgage loans against fixed assets
5. By issuing Shares or Debentures
6. Public Deposits (Govt. Bonds etc.)
7. Venture Capital

Let us examine the various sources of capital available to new ventures.

Sources of Finance

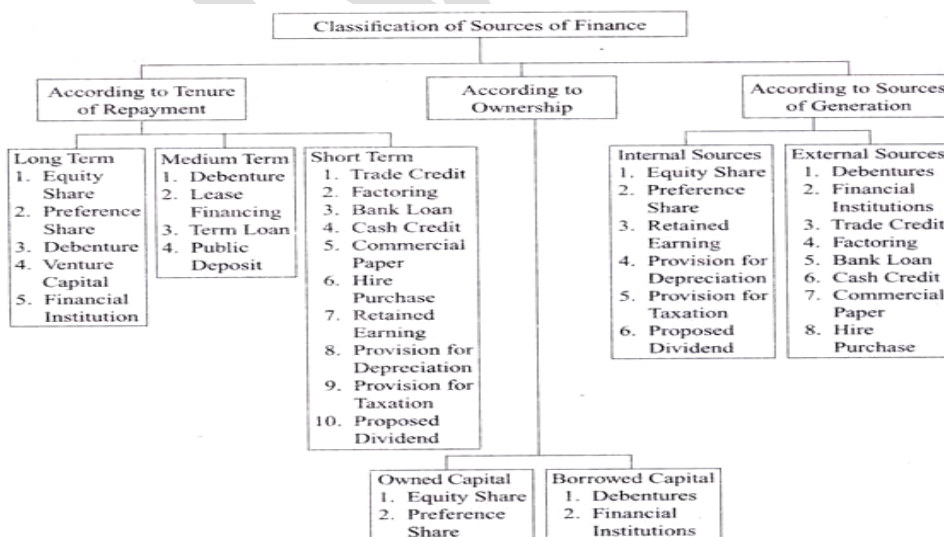


FIGURE 3.1 Classification of Sources of Finance

1. Debt versus Equity: The use of debt to finance a new venture involves a payback of the funds plus interest for the use of money.

- Equity financing involves the sale of some of the ownership in the venture.
- Debt places a burden of repayment and interest on the entrepreneur, whereas equity financing forces the entrepreneur to relinquish some degree of control.

Debt financing

- Many new ventures find that debt financing is necessary. Short term borrowing (one year or less) is often required for working capital and is repaid out of the proceeds from sales.
- Long term debt is used to finance the purchase of property or equipment, with the purchased asset serving as collateral for the loans.
- The most common source of debt financing are commercial banks.

Other debt financing sources;

- **Trade credit:** is credit given by suppliers who sell goods on account. This is reflected on balance sheet as account payable. And it must be paid within 30 to 90 days. Suppliers offer this credit as a way to attract new customers.
- **Account receivable financing:** is short term financing that involves either the pledge of receivable as collateral for loan or the sale of receivable (factoring).
- **Factoring** is the sale of accounts receivable. The receivables are sold, at a discounted value to a factoring company.
- **Finance companies** are asset- based lenders that lend money against asset such as receivables, inventory and equipment.

2. EQUITY FINANCING: It is money invested in the venture with no legal obligation for entrepreneurs to repay the principal amount or pay interest on it. However it requires sharing the ownership and providing with the funding source.

3. PUBLIC OFFERINGS: It is term used to refer to a corporation's raising capital through the sale of securities on the public markets. A public offering is the sale of equity shares or other financial instruments such as bonds to the public in order to raise capital. The capital raised may be intended to cover operational shortfalls, fund business expansion, or make strategic investments.

Advantages

- **Size of the capital amount:** selling securities is one of the fastest ways to raise large sum of capital in short period.
- **Liquidity:** it provides liquidity for owners since they can readily sell their stock.

- **Value:** the marketplace puts a value on the company's stock, which in turn allows value to be placed on corporation.
- **Image:** the image of a publicly traded corporation often is stronger in the eyes of suppliers, financiers and customers.

Disadvantages

- **Transaction Cost:** Initial public offerings cost a lot of money. One of the greatest costs connected with IPOs is the extremely high underwriter fees.
- **Privacy:** A lot of investor data is required in the paperwork & application when applying for an IPO. It could contain information you would normally not want the public to access.

4. Venture capital

- Venture capitalists are a valuable and powerful source of equity funding for new ventures. **Venture capital** (commonly abbreviated as **VC**) is a form of private equity financing that is provided by venture capital firms or funds to startups, early-stage, and emerging companies that have been deemed to have high growth potential or which have demonstrated high growth (in terms of number of employees, annual revenue, scale of operations, etc).
- Venture capitalists can provide backing through capital financing, technological expertise, and/or managerial experience.

The business plan is a critical element in a new venture proposal and should be complete, clear and well presented. Venture capitalist generally will analyze five major aspects of the plan.

- The proposal size
- Financial projections
- Investment recovery
- Competitive advantage
- Company management

Advantages

1. Large amounts of capital can be raised
2. Help managing risk is provided
3. Monthly payments are not required
4. Personal assets don't need to be pledged
5. Experienced leadership and advice are available
6. Collaboration opportunities with industry experts and other startups are available

7. Venture capitalists offer an opportunity for expansion

Disadvantages

1. Founder ownership stake is reduced/Loss of control
2. Approaching a venture capitalist can be tedious
3. Venture capitalists usually take a long time to make a decision
4. Funding is relatively scarce and difficult to obtain
5. The overall cost of financing is expensive
6. Funds are released on a performance schedule
7. Underperformers can lose their business

5. Business Angels

- An angel investor is an individual who provides capital for a business or businesses, including startups, usually in exchange for convertible debt or ownership equity.
- A business angel is a high net-worth individual who offers financing for small start-ups or small business owners, often in exchange for equity in the business. The funding a business angel provides might be a one-time investment, or it may be an ongoing financing venture to help the new business in its early years.
- Business angels are always looking for ways to make more profit from their money than they would get if they invested it in the stock market.
- They might be interested in mentoring a new generation of entrepreneurs, working within a particular industry, or leveraging their experience and skills differently.

Advantages

- **Expert Investors:** Angel investors have a large sectoral knowledge. They might be business owners that have experience in your industry and can offer guidance and coaching to help you thrive.
- **Large Set of Connections:** They might be able to connect you with new clients, funding options, business partners, and other pertinent people.
- **Extended Support:** Since they own the business, angel investors often only profit if it is profitable. Also, adding their names to your business profile can act as leverage to raise the next round of funding.
- **Big bankroll:** In the future, if your small firm requires more money, angel investors might make additional contributions. Even if a company is unable to secure finance from a bank or other financial institution, angel investors may nonetheless invest.

Disadvantages

- **Possibly being rejected:** Even if you believe your business has exceptional growth potential or a revolutionary product, angel investors may nonetheless turn down your pitch. Funding a business carries some risk.
- **Shared Authority:** Since some angel investors might demand a significant ownership stake. This shall dilute your ownership and may cause hindrance in further fund-raising for your business.
- **Possibly Ineffective:** Instead of choosing an angel investor who is only interested in getting their money back, you can select one who would work with you to expand your firm and contribute to its success.
- **Effort and Time:** Be prepared for a time-consuming procedure since you'll likely need to produce a tone of paperwork, including income statements and estimates, balance sheets, cash flow statements, and bank statements

6. Lease Financing

- A lease is a contractual agreement whereby one party i.e., the owner of an asset grants the other party the right to use the asset in return for a periodic payment. In other words it is a renting of an asset for some specified period. The owner of the assets is called the 'lessor' while the party that uses the assets is known as the 'lessee' .
- The terms and conditions regulating the lease arrangements are given in the lease contract. At the end of the lease period, the asset goes back to the lessor. Lease finance provides an important means of modernization and diversification to the firm.
- While making the leasing decision, the cost of leasing an asset must be compared with the cost of owning the same.

7. Commercial Banks

- Commercial banks provide funds for different purposes as well as for different time periods. Banks extend loans to firms of all sizes and in many ways, like, cash credits, overdrafts, term loans, purchase/discounting of bills, and issue of letter of credit. The rate of interest charged by banks depends on various factors such as the characteristics of the firm and the level of interest rates in the economy. The loan is repaid either in lump sum or in installments. The borrower is required to provide some security or create a charge on the assets of the firm before a loan is sanctioned by a commercial bank.

Forms of business organization

When organizing a new business, one of the most important decisions to be made is choosing the structure of a business.

1. Sole Proprietorship
2. Partnership - Limited liability partnership
3. Joint Stock Companies and
4. Cooperatives.

1. SOLE PROPRIETORSHIPS

- These firms are owned by one person, usually the individual who has day-to-day responsibility for running the business. Sole proprietors own all the assets of the business and the profits generated by it. They also assume "complete personal" responsibility for all of its liabilities or debts. In the eyes of the law, you are one in the same with the business.
- *A sole proprietorship is a business that is owned and operated by one person.*

The salient features of the proprietorship are

- i Single ownership
- ii. One man control
- iii. Undivided risk
- iv. Unlimited liability
- v. No separate entity of the business
- vi. No Government regulations.

Merits:

1. Easiest and least expensive form of ownership to organize.
2. Sole proprietors are in complete control, within the law, to make all decisions.
3. Sole proprietors receive all income generated by the business to keep or reinvest.
4. Profits from the business flow-through directly to the owner's personal tax return.
5. The business is easy to dissolve, if desired.

Demerits:

1. Unlimited liability if anything happens in the business. Your personal assets are at risk
2. Limited in raising funds and may have to acquire consumer loans

3. No separate legal status
4. Lack of continuity
5. Relatively limited view points and experience

2. Partnerships

In a Partnership, two or more people share ownership of a single business.

- The partners should have a legal agreement that sets forth how decisions will be made, profits will be shared, disputes will be resolved, how future partners will be admitted to the partnership, how partners can be bought out or what steps will be taken to dissolve the partnership when needed.
- According to Section 4 of the Partnership Act, 1932 partnership is “the relation between persons who have agreed to share the profits of a business carried on by all or anyone of them acting for all”.
- In other words, a partnership is an agreement among two or more persons to carry on jointly a lawful business and to share the profits arising there from. Persons who enter into such agreement are known individually as ‘partners’ and collectively as ‘firm’.
- Limited partnerships require a formal agreement between the partners. They must also file a certificate of partnership with the state. Limited partnerships allow partners to limit their own liability for business debts according to their portion of ownership or investment.

Characteristics of Partnership

- i. Association of two or more persons — maximum 10 in banking business and 20 in non-banking business
- ii. Contractual relationship—written or oral agreement among the partners
- iii. Existence of a lawful business
- iv. Sharing of profits and losses
- v. Mutual agency among partners
- vi. No separate legal entity of the firm
- vii. Unlimited liability
- viii. Restriction on transfer of interest
- ix. Utmost good faith.

Merits:

1. Partnerships are relatively easy to establish; however time should be invested in developing the partnership agreement.
2. With more than one owner, the ability to raise funds may be increased.
3. The profits from the business flow directly through to the partners' personal taxes.
4. Prospective employees may be attracted to the business if given the incentive to become a partner.

Demerits:

1. Partners are jointly and individually liable for the actions of the other partners.
2. Profits must be shared with others.
3. Since decisions are shared, disagreements can occur.
4. The partnerships have a limited life; it may end upon a partner withdrawal or death.

3. Joint Stock Company

A joint-stock company is a business entity in which shares of the company's stock can be bought and sold by shareholders. Each shareholder owns company stock in proportion, evidenced by their shares. Shareholders are able to transfer their shares to others without any effects to the continued existence of the company.

The joint stock company is divided into three different types.

- **Chartered Company** – A firm incorporated by the king or the head of the state is known as a chartered company.
- **Statutory Company** – A company which is formed by a particular act of parliament is known as a statutory company. Here, all the power, object, right, and responsibility are all defined by the act.
- **Registered Company** – An organisation that is formed by registering under the law of the company comes under a registered company.

There are two main types of joint stock Companies.

- i. **Private Limited Company:** This type company can be formed by two or more persons. The maximum number of member ship is limited to 200. In this transfer of shares is limited to members only. The government also does not interfere in the working of the company.
- ii. **Public Limited Company:** It is one whose membership is open to general public. The minimum number required to form such company is seven, but there is no upper limit.

Such company's can advertise to offer its share to general public through a prospectus. These public limited companies are subjected to greater control & supervision of control.

Features of Joint Stock Company

- **Separate Legal Entity** – A joint stock company is an individual legal entity, apart from the persons involved. It can own assets and can because it is an entity it can sue or can be sued. Whereas a partnership or a sole proprietor, it has no such legal existence apart from the person involved in it. So the members of the joint stock company are not liable to the company and are not dependent on each other for business activities.
- **Perpetual** – Once a firm is born, it can only be dissolved by the functioning of law. So, company life is not affected even if its member keeps changing.
- **Number of Members** – For a public limited company, there can be an unlimited number of members but minimum being seven. For a private limited company, only two members. In general, a partnership firm cannot have more than 10 members in one business.
- **Limited Liability** – In this type of company, the liability of the company's shareholders is limited. However, no member can liquidate the personal assets to pay the debts of a firm.
- **Transferable share** – A company's shareholder without consulting can transfer his shares to others. Whereas, in a partnership firm without any approval of other partners, a partner cannot move his share.
- **Incorporation** – For a firm to be accepted as an individual legal entity, it has to be incorporated. So, it is compulsory to register a firm under a joint stock company.

Merits:

- The liability being limited the shareholder bears no risk & therefore more as many persons are encouraged to invest capital.
- Because of large numbers of investors, the risk of loss is divided.
- Joint stock companies are not affected by the death or the retirement of the shareholders.

Demerits:

- It is difficult to preserve secrecy in these companies.
- It requires a large number of legal formalities to be observed.
- Lack of personal interest.

4. Cooperative

A cooperative organisation is an association of persons, usually of limited means, who have voluntarily joined together to achieve a common economic end through the formation of a democratically controlled organisation, making equitable distributions to the capital required, and accepting a fair share of risk and benefits of the undertaking.

Characteristics of Cooperative Society

- **Voluntary Association:** The membership of a cooperative society is voluntary in nature, i.e. it is as per the choice of people.
- **Open Membership:** The membership of a cooperative society is open to all i.e., membership is open to all, irrespective of their caste, creed and religion.
- **Registration:** A cooperative society needs to get registered in order to be considered a legal entity. After registration it can enter into contracts and acquire property in its name.
- **Limited liability:** The members of a cooperative society will have limited liability. The liability is limited to the amount of capital contributed by the member.
- **Democratic Character:** Cooperative society forms a managing committee and elected members have the power to vote and choose among themselves.
- **Service Motive:** The formation of a cooperative society is for the welfare of the weaker sections of the community. If the cooperative society earns profit it will be shared among the members as dividend.
- **Under state control:** In order to safeguard the interests of society members, the cooperative society is under the control and supervision of the state government.

Types of Cooperative Societies

- **Consumer Cooperative Society:** Consumer cooperative societies are formed with the objective of protecting the consumer interests. In such type of societies, there are no middlemen involved, the product is purchased directly from the producer and sold to consumers.
- **Producer Cooperative Society:** Producer cooperative societies are formed with the objective of protecting the interests of small producers. These cooperatives help producers in maintaining their profit and also to assist producers in procuring items that will be helpful in production of goods and services.
- **Credit Cooperative Society:** These cooperative societies are set up with the objective of helping people by providing credit facilities. They provide loans at a minimal rate of interest and flexible repayment tenure to its members and protect them against high rates of interest that are charged by private money lenders.
- **Housing Cooperative Society:** Housing cooperative societies are formed with the objective of providing housing facilities to the members of the society. This proves to be

beneficial for the lower income groups as it allows them to avail housing benefits at a very affordable price.

- **Marketing Cooperative Society:** These societies are formed with the objective of providing small producers a platform to sell their products at affordable prices and also eliminate middlemen from the chain, thus ensuring adequate profits.

Ex:

1. Indian Farmers Fertiliser Cooperative Limited (IFFCO)
2. Horticultural Producers' Cooperative Marketing and Processing Society (HOPCOMS)
3. Indian Coffee House.
4. Amul.
5. Pratibha Mahila Sahakari Bank.

Advantages

- **Easy to Form-** A cooperative society is a voluntary association and may be formed with a minimum of ten adult members. Its registration is very simple and can be done without much legal formalities.
- **Open Membership-** Membership in a cooperative organisation is open to all people having a common interest.
- **Democratic Management-** A cooperative society is managed in a democratic manner. It is based on the principle of 'one man one vote'. All members have equal rights and can have a voice in its management.
- **Limited Liability-** The liability of the members of a co-operative society is limited to the extent of capital contributed by them.
- **Stability-** A co-operative society has a separate legal existence. It is not affected by the death, insolvency, lunacy or permanent incapacity of any of its members.
- **Government Patronage-** Government gives all kinds of help to co-operatives, such as loans at lower rates of interest and relief in taxation.
- The products that are sold in the cooperative societies are cheaper than the market.
- Procurement of products is done directly from the producers, which removes the middlemen, thereby generating more profit for the producers and consumers.
- Members of the cooperative society can get quick loans.

Disadvantages:

- **Limited Capital-** Cooperatives are usually at a disadvantage in raising capital because of the low rate of return on capital invested by the members.
- **Inefficient Management-** The management of a co-operative society is generally inefficient because the managing committee consists of part-time and inexperienced people.
- **Absence of Motivation-** A cooperative society is formed for mutual benefit and the interest of individual members is not fully satisfied. There is no direct link between effort and reward.
- **Rigid Rules and Regulations-** Excessive Government regulation and control over co-operatives affect their functioning. For example, a co-operative society is required to get its accounts audited by the auditors of the co-operative department and to submit its accounts regularly to the Registrar.
- **Lack of Competition-** Cooperatives, generally, do not face any stiff competition. Markets for their goods and services are more or less ready and assured.
- **Cash Trading-** The members of the societies are generally from poor sections of the society. These persons need credit facilities.
- **Lack of Secrecy-** The affairs of a co-operative society are openly discussed in the meetings of the members. Every member is free to inspect the books and records of the society.

Entrepreneurship Development and Government

Module-4

Role of Central Government and State Government in promoting Entrepreneurship

The government set Programmes to help entrepreneurs in the field of technique, finance, market and entrepreneurial development so that they help to accelerate and adopt the changes in industrial development. Various Institutions were set up by the central and State government in order to fulfill this objective.

Government provides various incentives to entrepreneurs to

- Encourage and support entrepreneurs
- Enhance their productivity, and
- Motivate entrepreneurs
- These incentives are given in the form of concession, subsidies and bounties.
- Subsidies are a one time lump sum amount given to the entrepreneur by the government. It is a financial help to cover the cost.
- Bounty is a financial help provided to an industry so that it can compete with other units of the country as well as any foreign industry in the same business.

Aims and Objectives of Incentives

1. Solving Economic Constraints

Entrepreneurs often encounter several problems.

- Lack of adequate infrastructure
- Locations of supporting offices for projects
- Lack of relevant information and knowledge e.g.
 - Managerial skills and technical ,
 - Market intelligence, etc.

Provision of Government incentives like availability of power, concessional finance, capital investment subsidies, transport subsidies, etc. aims at eliminating such constraints and promote entrepreneurship.

2. Inculcate regional parity in development

- Regional disparity is one of the concerning features of Indian economy.

In order to inculcate equitable growth and development that leads to regional parity i.e. there is equal development of all the regions, government provides special incentives for establishing entrepreneurs in the backward regions.

3. To prepare entrepreneurs for competition

- Small Scale Enterprises started by entrepreneurs observe strong competition from big firms.
- To make them able to thrive and survive under competitive environment some sort of support is required.
 - If they are not provided appropriate support from the government then they can not survive and grow.
- Thus certain incentives are required.
 - e.g. reservation policy, price preference, preferential purchase, etc., help to improve their competitive strength.
- Entrepreneurs in the context of globalized market economy are the vehicles of economic development.
- Small and medium enterprises carry strategic importance in national economy.
- Government helps enterprises including small and medium ones by supporting entrepreneurs.
 - It makes possible to create new job positions, increase gross domestic product (GDP) and rising living standard of population.

Government Support to Entrepreneurs

To protect, support and promote small enterprises and help them become self-supporting, the Government has taken a number of protective and promotional measures.

These measure include

1. Industrial Extension Services (NIMSME)
2. Institutional Support in Respect of Credit Facilities,
3. Provision of Developed Sites for Construction Of Sheds,
4. Provision of Training Facilities,
5. Supply of Machinery on Hire-purchase Terms- (NSIC)
6. Assistance for Domestic Marketing as well as Exports,
7. Special Incentive for Setting Up Enterprises in Backward Areas Etc.
8. Technical consultancy & financial assistance for technological upgradation.

Government provides support to entrepreneurs in the following ways.

Training: Trainings aims at improving the entrepreneurial skills. Basic training varies from product to product but will necessarily emphasise on sharpening of entrepreneurial skills.

- In this regard central and state government's technical institutions provide need based technical training.
- Entrepreneurship development programmes are conducted by many government organizations and non government institutions.

Marketing Assistance

- Government and non government agencies provide marketing assistance to entrepreneurs.
- Government promotes MSME products through exhibitions.
- **The National Small Industries Corporation (NSIC)** directly markets the MSME products in the national and international market
 - NSIC manages single point registration scheme for manufacturers for government purchases.
 - Enterprises registered under this scheme obtain the benefit of free tender documents and exemption from earnest money deposit and performance guarantee.

Promotional schemes:

- MSMEs are accorded highest priority.
- For their development conducive policies and schemes are formulated and implemented.
- Government provides land and sheds on actual cost basis with appropriate infrastructure.
- The government has designed the special schemes for:
 - Quality up gradation
 - Common facilities
 - Entrepreneurship development, and
 - Consultancy services at minimal charges.
- **Excise duty Concession**
 - Government provides exemption to MSME units for a particular level of annual turnover from paying excise duty.
 - The limit of turnover is variable.

- **Credit facility**

- Credit to MSME sector is covered under priority sector lending by banks.
- Small industries development bank of India (SIDBI) is mainly responsible for implementing various schemes of providing financial support to small entrepreneurs.
- Loans are also provided to small entrepreneurs by scheduled banks without collateral security.
- The limit of loan is variable.

Export Oriented Units (EOU) Scheme

- The Export Oriented Units (EOU full form) scheme is a government programme that was introduced in India. The goal of the EOU scheme is to promote exports and create jobs in the export sector. The scheme offers a number of incentives to exporters, including tax breaks and subsidies.
- The EOU scheme is based on the premise that exports are a key source of growth for Indian businesses. In addition, the scheme is designed to help small and medium-sized businesses (SMBs) become more competitive in global markets. The EOU scheme provides a range of incentives, including tax breaks and subsidies, to help exporters start and grow their businesses.
- The EOU scheme is divided into two parts: the first part focuses on boosting exports from companies within certain sectors (such as textiles and pharmaceuticals), while the second part offers incentives for companies that are looking to expand their exports.

EOUs are those units that undertake to export their entire goods and services. Any entity engaged in the below-mentioned activities can obtain the status of EOU:

- Manufacturing,
- Providing service,
- Software development,
- Repair, reconditioning and re-engineering of jewellery and articles,
- Units engaged in agriculture, animal husbandry, poultry, biotechnology, floriculture, horticulture,
- Other similar activities

Fiscal and Tax concessions available- Start Up India scheme

- In order to promote and nurture startups in India, the government has developed several programs through which they can benefit, including the STARTUP INDIA program. A

major objective of this initiative is to create an environment that encourages startups in the country and promotes the advancement of entrepreneurs.

- **Tax Exemptions**
- Startup programs help entrepreneurs by providing them with several tax benefits, and those which function as private limited companies, **limited liability partnership** or **Partnership firms** may also be eligible for other benefits as per the schemes available to them.

There are multiple tax benefits available to entrepreneurs.

- **No tax for the first three years**
- The Government of India offers 100% tax exemption to the start-ups for the first three years. This gives new entrepreneurs time to build a business with added budget, which they otherwise would have to pay as taxes. However, only companies that are registered with Department of Industrial Policy and Promotion (DIPP) are eligible to claim this benefit.
- The only tax the start-up has to pay is the Minimum Alternate Tax (MAT), which is calculated on the revenue reflected on the 'book profit' of the company.
- **20% tax exemption on capital gain**
- Companies raise capital through sharing stock and the profits earned by engaging in such dealings are known as capital gains and thus are eligible to be taxed. Startups receive an exemption of 20% of their capital gains resulting in them having to pay less tax on profits earned through the sales of stocks, bonds and shares.
- **No tax on 'Angel Investment'**
- The Government of India has announced that 'angel investments' are tax-free. Hence, start-ups can now collect the funds they require from angel investors without having to worry about added taxation.

Women Entrepreneurs

- *Women entrepreneurs may be defined as a woman or a group of women who initiate, organise and run a business concern.*
- *Women entrepreneurs are those women who think of a business enterprise, initiate it, organise and combine factors of production, operate the enterprise and undertake risks and handle economic uncertainty involved in running it.*
- Government of India – “A woman entrepreneur is defined as an enterprise owned and controlled by a woman having a minimum financial interest of 51 percent of the capital and giving at least 51 percent of the employment generated in the enterprise to women.”

- World over 1/3rd of the entrepreneurial ventures are run by woman entrepreneurs. Due to economic progress, better access to education, urbanization, spread of liberal and democratic culture and recognition by society, there has been a spurt in woman entrepreneurship in India. Special incentives and drives have been created in India to bolster the growth of women entrepreneurs. Schemes like Startup India and Standup also make special case to promote entrepreneurial drive among women.

Need:

- They have made their mark in business for the following reasons:
- They want new challenges and opportunities for self-fulfillment.
- (ii) They want to prove their determination in innovative and competitive jobs.
- (iii) They want the change to control the balance between their family responsibilities and their business lives.

Factors Affecting Women Entrepreneurs

1. Financial Independence
2. Creating their own identity
3. Achievement of excellence
4. Developing risk-taking ability
5. Freedom and mobility
6. Motivation
7. Equality in society
8. Establishing their creativity

Problems of Women Entrepreneurship



Prospects for Women Entrepreneurs

Encouragement and support, from the family, society, and the government are the two most important things that motivate women entrepreneurs. There are a number of schemes and programs which are started by the government to boost the morale of and provide financing to women entrepreneurs.

- Facilitating financial support to women and providing loans at low or zero interest, to motivate women.
- Government can run training programs for women, at nominal or no fees to train them regarding the operation of machinery and other equipments.
- Conferences, workshops, seminars, and webinars can be organized for encouraging women.
- Forums must be established where prospective women entrepreneurs can talk and chat with successful entrepreneurs and discuss their queries and share knowledge.
- Certain policies and rules are required to be made for women's empowerment.
- Help desk, websites and support forums can help in getting instant help.
- Encouraging home-based businesses, so that women can effectively coordinate with household and entrepreneurial responsibilities.
- The loan procedure by banks and other governmental organizations needs to be simplified.

Strategies to motivate entrepreneurship amongst women.

- Measures must be taken to motivate, inspire and assist the women to enter the entrepreneurial field.
- Action must be taken to enhance female literacy rates and provide quality education to all women by building proper training institutes or encouraging participation in workshops and seminars to improve their personality.
- There needs to be an overall societal change through education and awareness to promote a broad-minded attitude towards women in big roles.
- The governmental organizations need to develop and generate policies and programs such as providing financial schemes to cooperate the women entrepreneurs.
- Forums should be created to seek the feedback, suggestions, and grievances of women entrepreneurs and efforts should be made to address any concerns and make the appropriate improvements.

Government Initiatives to Encourage Women Participation

Bharatiya Mahila Bank Business Loan

This type of business loan was set up in 2017 to help women access cheap loans and dream big despite their lack of resources. The scheme provides loans of over Rs. 20 crores (US\$ 2.46 million) for women entrepreneurs. A collateral-free loan can also be availed of for loans worth less than Rs. 1 crore.

Dena Shakti Scheme

This scheme was launched for women entrepreneurs looking to start their business in certain sectors such as agriculture, retail and manufacturing. The scheme provides loans at an interest rate that is 0.25% below the base rate. The maximum loan application is Rs. 20 lakhs.

- **Udyogini Scheme**

This scheme is for women with an annual income of Rs. 1.5 lakh . It provides loans of up to Rs. 3 lakh for women wanting to start a business but have no capital.

- **Women Entrepreneurship Platform**

This is a flagship platform started by NITI Aayog to promote women entrepreneurship. The platform hosts various workshops and educational events to motivate women to start their own business.

Institutions supporting entrepreneurs

A financial institution is an institution which collects funds from the public and places them in financial assets, such as deposits, loans, and bonds, rather than tangible property.

A Brief Overview of Financial Institutions in India

Financial Institutions in India

Commercial Banks

- The Scheduled Commercial Banks (SCBs) in the country comprise the State Bank of India and its associated banks, nationalized banks, private sector banks, regional rural banks and foreign banks.

Other Financial Institutions

1. Industrial Development Bank of India (IDBI)
2. Industrial Finance Corporation of India Ltd. (IFCI)
3. Industrial Reconstruction Bank of India (IRBI)
4. Life Insurance Corporation of India (LIC)
5. Unit Trust of India
6. State Financial Corporations (SFC)
7. State Industrial Development Corporations (SIDC)
8. Small Industries Development Bank of India (SIDBI)
9. Export-Import Bank of India (EXIM)

SIDBI

The Small Industries Development Bank of India (SIDBI) was established in April 2, 1990 under an Act of Indian Parliament as the principal financial institution for:

- Promotion
- Financing
- Development of Industries in the small scale sector
- Co-coordinating the functions of other institutions engaged in similar activities.

The business domain of SIDBI consists of small-scale industrial (SSI) units, which contribute significantly to the national economy in terms of production, employment and exports. (Small scale industries are the industrial units in which the investment in plant and machinery does not exceed Rs.1 crore).

- Small Industries Development Bank of India is the apex institution for financing, promotion and development of micro, small and medium enterprises in India. It is under the jurisdiction of Ministry of Finance, Government of India headquartered at Lucknow.

EDP's of SIDBI

Entrepreneurship Development Programs are conducted through specialized agencies:

- Entrepreneurship Development Institute of India,
- Institutes of Entrepreneurship Development (IEDs),
- Centre for Entrepreneurship Development (CEDs),
- Technical Consultancy Organizations (TCOs), and
- Non-Governmental Organizations (NGOs)

SIDBI is constantly endeavoring to address problems like management deficiency and low level of skill and technology, by bringing reputed management and technical institutions close to SSIs and arranging specially designed programs, viz., Small Industries Management Assistant Program (SIMAP) & Skill & Technology Up gradation Program .

Features of SIDBI

1. SIDBI provides refinance support to Small Scale Industries (SSIs)
2. Funding support to MSME sector
3. Helps in discounting the bills of Small Scale Industries
4. Provides refinance to financial institutions, including banks, NBFCs & Small Finance Companies
5. Offers financial services, such as hire purchase, factoring and leasing services
6. Promotes employment opportunities among SSIs
7. Provides assistance to exports
8. Bank loans offered to women entrepreneurs and underprivileged group of people

NABARD

- National Bank for Agriculture and Rural Development (NABARD) came into Existence on 12th July 1982 by an act of Parliament. Its objective is providing focused and undivided attention to the development of rural India.
- NABARD mission statement underscores “to promote sustainable & equitable agricultural & rural prosperity through effective support, related services, institution development and other innovative initiatives.

- National Bank for Agriculture and Rural Development is an apex regulatory body for overall regulation and licensing of regional rural banks and apex cooperative banks in India. It is under the jurisdiction of Ministry of Finance, Government of India.
- NABARD is an apex institution accredited with all matters concerning policy, planning and operations in the field of credit for agriculture and other economic activities in rural areas.
- It takes measures towards institution building for improving absorptive capacity of the credit delivery system, including monitoring, formulation of rehabilitation schemes, restructuring of credit institutions, training of personnel, etc.
- It coordinates the rural financing activities of all the institutions engaged in developmental work at the field level and maintains liaison with Government of India, State Governments, Reserve Bank of India and other national level institutions concerned with policy formulation.

Functions of NABARD

Credit Functions:

- Framing policy and guidelines for rural financial institutions.
- Providing credit facilities to issuing organizations
- Monitoring the flow of ground level rural credit.
- Preparation of credit plans annually for all districts for identification of credit potential.

Development Functions:

- Help cooperative banks and Regional Rural Banks to prepare development actions plans for themselves.
- Help Regional Rural Banks and the sponsor banks to enter into MoUs with state governments and cooperative banks to improve the affairs of the Regional Rural Banks.
- Monitor implementation of development action plans of banks.
- Provide financial support for the training institutes of cooperative banks, commercial banks and Regional Rural Banks.
- Provide financial assistance to cooperative banks for building improved management information system, computerisation of operations and development of human resources.

Supervisory Functions:

- Undertakes inspection of Regional Rural Banks (RRBs) and Cooperative Banks (other than urban/primary cooperative banks) under the provisions of Banking Regulation Act, 1949.
- Undertakes inspection of State Cooperative Agriculture and Rural Development Banks (SCARDBs) and apex non- credit cooperative societies on a voluntary basis.
- Provides recommendations to Reserve Bank of India on issue of licenses to Cooperative Banks, opening of new branches by State Cooperative Banks and Regional Rural Banks (RRBs).

IDBI

- The Industrial Development Bank of India (IDBI) was set up in July 1964, as a wholly-owned subsidiary of the Reserve Bank of India. It was given complete autonomy in February 1976.
- Today, the IDBI is regarded as an apex institution in the arena of development banking.

Functions of IDBI

1. To provide financial assistance to industrial enterprises.
2. To promote institutions engaged in industrial development.
3. To provide technical and administrative assistance for promotion management or expansion of industry.
4. To undertake market and investment research and surveys in connection with development of industry.

Small Industries Development Corporations –SIDCO

- SIDCO are stat owned agencies in the states of India which are established at various times under the policy of government of India for the promotion of small scale industries.
- The State Small Industries Development Corporations (SIDCO) were set up in various States under the Companies Act,1956 as State Government Undertakings to cater to the primary developmental needs of the small, tiny and village industries in the State/Union Territories under their jurisdiction.
- Incorporation under the companies Act has provided SIDCOs with greater operational flexibility and wider scope for undertaking a variety of activities for the benefit of the small sector.

The important functions performed by the SIDCOs include

- To procure and distribute scarce raw materials
- To supply machinery on hire purchase system

- To provide assistance of marketing of the products of the small scale industries
- To construct industrial sheds, providing allied infrastructure facilities and their maintenance
- To extend seed capital assistance on behalf of the state government concerned

A few of the SIDCOs are:

1. Kerala Small Industries Development Corporation Limited
2. Small Industries Development Corporation of Jammu and Kashmir.
3. Tamil Nadu Small Industries Development Corporation Limited (TANSIDCO).

Indian Institute of Entrepreneurship (IIE)

- With an aim to undertake training, research and consultancy activities in the small industry sector focusing on entrepreneurship development, the Indian Institute of Entrepreneurship was established in the year 1993 at Guwahati by the Ministry of Small Scale Industry, Govt. of India as an autonomous national Institute.
- The main aim of the Institute is to provide training, research and consultancy activities in Small and Micro Enterprises (SME), with special focus on entrepreneurship development.

Its objectives are:

1. To promote and develop entrepreneurship.
2. To conduct research and provide consultancy for entrepreneurship development.
3. To coordinate and collaborate with other organizations in undertaking training, research and other activities to increase outreach of the institute.
4. To provide consultancy and monitoring service to MSMEs/ potential entrepreneurs and enhancing employability of participants.
5. To promote greater use of information technology in the activities/ functions of the IIE.
6. To comply with statutory responsibility.

FUNCTIONS

- Designing and organising training activities for different target group and undertaking research in the relevant to entrepreneurship.
- Improving the efficiency, effectiveness and delivery of the change agents and development practitioners i.e. trainers, support organizations engaged in enterprise building. etc.
- Provide consultancy service to the prospective and existing entrepreneurs.
- Increasing the outreach of activities of the institute through collaborative activities and increasing their effectiveness through use of different tools of information technology.

District Industries Centers –DIC

- In order to extend the promotion of small-scale and cottage industries beyond big cities and state capitals to the district headquarters, the District Industries Centers (DIC) programme was initiated in May 1978 as a centrally sponsored scheme with the objective of developing small, tiny and cottage sector industries in the country.
- DIC's were also established with the aim of generating greater employment opportunities especially in the rural and backward areas in the country. These centers provide support facilities/concessions/centrally in widely dispersed rural areas and other small towns.

It extend services of the following nature.

- Economic investigation of local resources
- Supply of machinery and equipment
- Provision of raw material
- Arrangement for credit facilities
- Marketing
- Quality inputs
- Consultancy and extension services

Single Window

- A single window is a system is where all facilities are available in one place. For example, in banking there are various dealings like withdrawing cash from a savings account, current account, purchase of drafts or pay orders, making fixed deposits, etc.
- Earlier, for each type of transaction, a customer had to approach different staff at different counters. Today, all the facilities can be availed of at one counter or window. Hence, it's called a single window facility.
- It is a single point contact to reduce the time and efforts involved in various clearances and approvals of layouts/applications for the proposed investment, submitted by investors.

Single window scheme

- This scheme encourages the investors for quick implementation of their projects and to streamline the regulatory processes at a single point in India. The government has enacted the industrial single window clearness system to process and issue of various approvals/clearance required to set up an industrial enterprise.

Under Single Window Act, government have notified and constituted different agencies, committees for receiving, processing and monitoring of applications.

Industrial Policy of Government of India

- Industrial policy covers the procedures, principles, rules and regulations which impact the industrial establishments of a country and the shape the pattern of industrialization.
- The Govt. of India for the first time tabled a new small enterprise policy titled „Policy Measures for Promoting and Strengthening and Supplementing Small, Tiny and Village Enterprises“ in the Parliament on 6th August, 1991.

The Salient features of this new policy are as under:

- Increase in the investment limit in plant and machinery of tiny enterprises from Rs. 2 lakhs to Rs. 5 lakhs, irrespective of the location of the enterprise.
- Inclusion of Industry related services and business enterprise, irrespective of their location, as small scale Industries.
- To introduce a limited Partnership Act. This would limit the financial liability of the new entrepreneurs to the capital invested.
- Introduction of a scheme of Integrated Infrastructural development for small-scale Industries.
- Introduction of Factoring Services to help the problems of delayed payments to small sector.
- Market promotion of small scale industries products through co-operative /public sector institutions, other specialized professional/marketing agencies and the consortium approach.
- To set up a technology Development Cell in the Small Industries Development Organization.
- To accord priority to small and tiny sector in the allocation of indigenous raw materials.
- Setting up of an Export Development Centre in the Small Industries Development Organization (SIDO)
- To widen the scope of the National Equity Fund (NEF), to enlarge the single window scheme and also to associate commercial banks with provision of composite loans.
- The Karnataka State Government has formulated a new industrial policy for 2020-2025 and the salient features of New Industrial Policy 2020-25 are as follows:

Objectives:

- To attract investments worth INR 5 Lakh crore.
- To create employment opportunities for 20 Lakh people.
- To reach 3rd position in merchandise exports in the next five years.
- To maintain an industrial growth rate of 10 per cent per annum.
- To provide an enabling ecosystem for technology adoption and innovation.

Strategies:

- Promote sustainable, balanced and inclusive industrial growth.
- Enable employment generation and increase labour market flexibility through regulatory labour reforms.
- Create strategic tie-ups for the emergence of Karnataka as the Knowledge and R&D Hub.
- Focus on development and promotion of the MSME Sector.
- Facilitate availability of industrial land.
- Promote Tier II / III cities of the State as engines of economic growth.
- Place Karnataka in the forefront of India's international trade.
- Attract private investment in development of integrated / multi / sectoral industrial parks and flatted factories.
- Create an environment to enhance ease of doing business in the State
- Support for R&D & Technology Up gradation

Module-5 Company Incorporation

A company, means a group of persons associated together for the attainment of a common end, social or economic.

Definition:

“Company is an association of many persons who contribute money or money’s worth to a common stock, and employ it in some common trade or business, and who share the profit or loss arising there from. The common stock so contributed is denoted in money and is the capital of the company. The persons who contribute it or to whom it belongs, are members. The proportion of capital to which each member is entitled is his share. Shares are always transferable although the right to transfer them is often more or less restricted.”

- Lindley .L.J.

Characteristics/features of a company

1. Separate legal entity
 - a. Salomon vs. Saloman & co ltd
2. Limited liability
 - **Company limited by Guarantee:** Liability of shareholders is limited to a certain amount of guarantee mentioned in the memorandum payable only at the time of wind up and losses occurred by the company.
 - **Company limited by Shares:** Liability of the members shall be limited to the extent of unpaid money or shares held by them.
3. Perpetual succession (long continuity)
4. Common seal
5. Transferability of shares
6. Separate property
7. Capacity to sue & to be sued

Incorporation /formation of company

Before company is formed, certain preliminary decisions are necessary, e.g., whether it is worth while it should be a private co. or public co., what its capital should be, and whether it is worthwhile forming new company or taking over the business of an already established concern. All these decisions are taken by certain persons known as promoters.

Promoter are those who do all preliminary work incidental to the formation of a company.

(1) A company may be formed for any lawful purpose by—

(a) Seven or more persons, where the company to be formed is to be a public company;

(b) Two or more persons, where the company to be formed is to be a private company; or

(c) One person, where the company to be formed is to be One Person Company that is to say, a private company, by subscribing their names or his name to a memorandum and complying with the requirements of this Act in respect of registration:

- ❖ The concept of “**One Person Company**” has been introduced and the said company will be formed as a private limited company. This will be called as “**OPC Limited**” [Section 2(62)].
- ❖ A Company may be an OPC having a sole member.
- ❖ The memorandum of such OPC is required to indicate the name of the person who shall become member in the event of death or incapacity of the sole member.
- ❖ OPC is required to specifically mention the word “one person company” below the name wherever it is used.

Documents to be filled with the registrar

Following documents duly stamped together with the necessary fees are to be filed with the Registrar:

1. The MOA duly signed by the subscribers.
2. The AOA if any signed by the subscribers to the MOA.
3. The agreement if any, which the co. proposes to enter into with any individual for appointment as its managing or whole time director or manager.
4. A list of directors and their written consent
5. A declaration stating all requirement of the companies act and other formalities relating to registration .

Such declaration shall be signed by any of the following person:

- a) An advocate of the Supreme court or High court or
- b) An attorney or pleader entitled to appear before a High court or
- c) A secretary or chartered accountant or
- d) A person named in articles as a director, manager or secretary of the company.

Then within 30 days of the date of incorporation of the company, a notice of the situation of the registered office of the company shall be given to the Registrar who shall record the same.

Certificate of incorporation

When the requisite documents are filled with the Registrar, if the Registrar is satisfied as to the compliance of statutory requirements, he retains and registers the Memorandum, the Articles and other documents filed with him and issues a certificate of incorporation.

Effect of registration

- The company becomes a distinct legal entity
- The company acquires a perpetual succession
- The company's property is not the property of the shareholders. The shareholders have a right to share in the profits of the company

What is a Private Limited Company?

A private limited company is a privately held business entity held by private stakeholders. The liability arrangement, in this case, is that of a limited partnership, wherein the liability of a shareholder extends only up to the number of shares held by them.

Section 2 (68) of the Companies Act, 2013 defines a private company as:

“A Company having a minimum paid-up share capital as may be prescribed, and which by its articles,— (i) restricts the right to transfer its shares; (ii) except in case of One Person Company, limits the number of its members to two hundred; (iii) prohibits any invitation to the public to subscribe for any securities of the company.”

Characteristics of a Private Limited Company

- **Membership:** Like any other company, a minimum of two shareholders are required in order to start such a company. But since it remains a small entity, there is also a maximum cap on the number of members fixed at 200. There is also a requirement of two directors to run the company.
- **Limited liability structure:** In a private limited company, the liability of each member or shareholder is limited. Therefore, even in the case of loss under any circumstances, the shareholders are liable to sell their own assets for repayment.
- **Perpetual succession:** This means that even if all the members die, or the company becomes insolvent or bankrupt, the company still exists in the eyes of the law. The life of the company will be perpetual, not affected by the lives of its shareholders or members unless dissolved by way of resolution.
- **Minimum paid-up capital:** A private limited company requires to have and maintain a minimum paid-up capital of Rs. 1 lakh. It could go higher, as prescribed by MCA (Ministry of Corporate Affairs) from time to time.

Requirements to start a Private Limited Company

1. **Members and directors:** As mentioned above, to get itself legally registered, a private limited company must show a minimum number of two and a maximum number of 200 members.

The directors should meet the following conditions:

- Each of the directors should have a DIN i.e. director identification number, which is given by the Ministry of Corporate Affairs
- One of the directors must be a resident of India, which means he/she should have stayed in India for not less than 182 days in the previous calendar year.

2. **Name of the company:** A private limited company is required to cover three aspects while deciding a name for itself:

- Main name
- Activity to be carried out
- Mention of 'Private Limited Company' at the end.

3. Registered office address

- After the company has been registered, the permanent address of its registered office must be filed with the registrar of the company.

4. Obtaining other documents

For electronic submission of documents, every company must obtain a digital signature certificate that is used to verify the authenticity of the documents.

List of Documents Required for Private limited company

The documents required for a private limited company are:

- **ID proof:** PAN card and passport of Indian and foreign directors, respectively
- **Address proofs:** Ration card or Aadhar card or driver's license or voter ID
- **Residence proofs:** Bank statement or electricity bill of the premise
- Notarized rental agreement
- NOC from the property owner
- A copy of the sale deed or property deed (for an owned property)

Steps for Company Registration

1. Application of DSC & DPIN :

Partners are required to apply for a Digital mark and a DPIN. The digital signature is an online signature utilized for filing and DPIN is the Director's PIN which is given to all the directors by the "MCA".

2 Name approval :

Have to give 3 distinct choices for the organization's name to the "MCA", out of which one will be chosen. Names given should be unique and suggestive of the company's business.

3. MOA & AOA submission :

- Once the "name" is approved, one needs to draft a "Memorandum of association (MoA)" and "Articles of Association (AoA)". Both MOA and AOA are to be filed with the "MCA" and it is mandatory to attach "Digital Signature Certificates (DSC)", with both of them.
- **4. Get incorporation certificate :**
- It commonly takes 15- 25 days to form a "Private limited company" and to get the joining certificate.
- **5. Apply for PAN, TAN and Bank account :**
- After the completion of the above points, you have to apply for both PAN and TAN. Both are issued within 7 working days. Later you can submit the Incorporation certificate, MoA, AoA, and PAN with a bank, to open your bank account.

Public Limited Company

- Public Limited Company in India enjoys all the privileges of a corporate entity together with the features of Limited Liability. A public limited company gets listed with the stock exchange to raise capital from the general public. Hence, the Public Limited Companies have to comply with multiple regulations of the government and start a Public Limited Company.
- A Public Limited Company that is registered under the provisions that are prescribed under the Companies Act, 2013. Also, the rules and the regulations of a Public Limited Company are more rigid and strict in comparison to the Private Limited Company.

Procedure for obtaining Public Limited Company registration

Step 1: It is necessary to meet all the legal requirements such as Number of Directors, Number of shareholders, minimum paid-up share capital have been fulfilled.

Step 2: The next step is to obtain the DSC and DIN for the directors of the Company.

Step 3: To be recognized as a registered office it is necessary to have a proper address of the Company. The Registered office address has to be registered with the Registrar of Company under whose jurisdiction the office falls.

Step 4: Before the procedure of registration, the name of the Company has to be approved by the ROC. For a Public Limited Company, the name must end with the word "Limited".

Step 5: Once the name of the Company has been approved the crucial documents of the Company that is the

Step 6: Once the documents are prepared they need to be submitted to the ROC for verification. MoA and the AoA need to be executed.

Step 7: Once the verification is done the ROC registers the company and issue the incorporation certificate.

Step 8: The business cannot be started immediately after receiving the COI. The business has to apply for a certificate of commencement within 180 days of the COI stating that all the subscribers have paid the subscription money.

Requirements for registering a Public Limited Company

Some various rules and regulations are prescribed under the Companies Act, 2013 for the formation of a Public Limited Company in India.

1. Minimum 7 shareholders are required to form a Public Limited Company.
2. A minimum of 3 Directors is required to form a Public Limited Company.
3. A minimum share capital of Rs.5 lakh is required.
4. DIN for the Directors is necessary.
5. Application is to be made for the selection of the Name of the Company
6. An application that comprises the main object clause of the company is made. This object clause will define the main objectives of a Company after the incorporation.
7. The application is submitted to the ROC along with the necessary documents like MOA, AOA, a duly filled form DIR-12, Form INC 7, and Form INC -22 is needed.
8. Payment of the registration fees that are prescribed by the ROC.
9. Once the ROC has approved the company should apply for the business commencement certificate.

Four stages of Start Up.

1. Idea Stage
2. Seed Stage
3. Growth Stage
4. Maturity stage

Idea Stage: The first startup stage is evaluating your idea and finding the problem/solution fit. During this time, it is imperative to expand upon your idea and test the market to learn how prospects will perceive your idea.

Seed Stage: This means the company should build an inexpensive version of the product, get feedback on the prototype from potential customers, and build a better prototype.

Growth stage: it's all about scaling your business. The business should be focused on generating a consistent source of funds while also striving to reach new customers.

Maturity stage: this is when one should be looking for new opportunities to expand.

Intellectual Property Rights

- Intellect is an umbrella term used to describe a property of the mind that encompasses many related abilities, such as the capacities to reason, to plan, to solve problems, to think abstractly, to comprehend ideas, to use language, and to learn.
- An intellectual (involving imagination and reason) is one who tries to use his or her intelligence and analytical thinking in either his profession or personal pursuits. Product of the mind creativity is the Intellectual Property and Right to protect this property is the Intellectual Property Right.

What are intellectual property rights?

Intellectual property rights are the rights given to persons over the creations of their minds. They usually give the creator an exclusive right over the use of his/her creation for a certain period of time.

IP means the property which is created with intellect such as inventions, books, paintings, songs, symbols, names, images or designs used in business etc.

Legal rights conferred on such property are called “Intellectual Property Rights” (IPR).

Definition of Intellectual Property

“Intellectual Property shall include the rights relating to

- literary, artistic and scientific works,
- performances of performing artists, phonograms, and broadcasts,
- inventions in all fields of human endeavour
- scientific discoveries
- Industrial designs
- trademarks, service marks and commercial names and designations
- protection against unfair competition

and all other rights resulting from intellectual activity in the industrial, scientific, literary or artistic fields.”

(WIPO Convention)

1. Patents
2. Copyright
3. Trademark
4. Geographical indications

Patent

Patent: A patent is the form of a certificate granted by a government. It gives the inventor the right to exclude others from imitating, manufacturing, using or selling the invention in question for commercial use during the specified period. Patent is valid only in the country that has granted it. It is granted for an innovation, invention, process of producing a product, and a concept.

“a patent is

- an intellectual property right relating to inventions and
- is the grant of an exclusive right
- for limited period
- provided by the government to the patentee
- in exchange for full disclosure of his invention

for excluding others, from making, using, selling, importing the patented product or process producing that product for those purposes.”

A patent is an exclusive right granted for an invention, which is a product or a process that provides, in general, a new way of doing something, or offers a new technical solution to a problem. To get a patent, technical information about the invention must be disclosed to the public in a patent application.

➤ Main parts of patent are :

- ❖ Title
- ❖ Field of invention
- ❖ Summary of invention
- ❖ detailed description of invention
- ❖ Claims
- ❖ Abstract
- ❖ Drawings if any

There are three types of patents:

Utility patents protect the functional aspects of an invention. They can be used to give inventors control over how, why, and when their device is used.

- Utility patents include machines, processes, or chemical compositions that provide a new way to solve a problem in our day-to-day lives.

Design patents protect the ornamental features of a device. They do not cover how an invention works but instead protect its unique shape and appearance.

Plant patents are applied for through the USPTO to protect new types of plants.

Life & Duration

- Term of the patent is 20 years from the date of filing for all types of inventions.
- Priority date- first to file
- The date of patent is the date of filing the application for patent.
- The term of the patent is counted from this date.

Copyright

- Copyright is a legal term describing the economic rights given to creators of literary and artistic works, including the right to reproduce the work, to make copies, and to perform or display the work publicly. Copyright protects arrangements of facts, but it does not cover newly collected facts as such.

- Moreover, copyright does not protect new ideas and processes; they may be protected, if at all, by patents.

A copyright is a form of intellectual property protection that grants to the owner of a work of authorship the legal right to determine how the work is used and to obtain the economic benefits from the work.

The exclusive and assignable legal right, given to the originator for a fixed number of years, to print, publish, perform, film, or record literary, artistic, or musical material.

The copyright lasts for **60 years**. In the case of original literary, dramatic, musical and artistic works the 60-year period is counted from the year following the death of the author.

In the case of cinematograph films, sound recordings, posthumous publications (published after authors death), anonymous and pseudonymous publications, works of government and works of international organisations are protected for a period of 60 years which is counted from the year following the date of publication.

Under Copyright, following literary and artistic works are covered

- Musical work: songs, choruses, solos, band, orchestras etc.
- Artistic works: painting, drawings, sculpture, architecture, advertisements etc.
- Photographic work: landscapes, fashion or event photograph, portraits etc.
- Motion pictures: films, drama, documentary, television broadcasting, video tape, DVDs.
- Computer programs: Computer programmes, software and their related databases etc.

Trademarks

- Trademarks are commercial source indicators, distinctive signs that identify certain goods or services produced or provided by a specific person or enterprise. Trademarks are especially important when consumers and producers are far away from one another.
- Trademark includes:- Well-known marks, Domain names, Geographical Indications & Non-traditional Marks
- A trademark can be a sign or logo which distinguishes the goods or services of one enterprise from other enterprises. Trademark helps company to make their recognition, reputation amongst the customers.
- According to Indian trademark act, any mark which is distinctive and capable of distinguishing goods and services can be registered as a trademark.
- A trade mark is any name, word, sound, number, color, fragrance, symbol or drawing (or their combination).
- Trade mark let us identify the goods made or services offered by a company or an individual.

- Trade mark is registered for 10 years and can be renewed.
- The Trademark law was replaced with the Trademark and Merchandise Act, 1958. It provides better protection of trademark and prevents misuse or fraudulent use of marks on merchandise. The Act provides registration of the trademark so that the owner of the trademark may get a legal right for its exclusive use.

Trade Mark can be -

- o *sign , words, letters, numbers,*
 - o *drawings, pictures, emblem,*
 - o *colours or combination of colours,*
 - o *shape of goods,*
 - o *graphic representation or packaging or*
 - o *any combination of the above*
- as applied to an article or a product.

Types of Trademark

- **Service mark:** A service mark is any symbol name, sign, device or word which is intentionally used in trade to recognize and differentiate the services of one provider from others.
- **Collective mark:** A collective mark is used by employees and a collective group, or by members of a collaborative association, or the other group or organization to identify the source of goods or services.

Example – CA is a collective trademark which is used by the Institute of the chartered accountant.

- **Trade dress:** Trade dress is a term that refers to features of the visual appearance of a product or design of a building or its packaging that denote the source of the product to customers.
- **Certification mark:** A Certification Mark (also sometimes called as the Conformity Mark, or a Mark of Validity or Assurance) is a specific mark on a commercial product, indicating that the manufacturer of the product has tested and verified strict compliance with certain prescribed quality standards while manufacturing the product.

EX: Agmark for all agricultural products.

BIS hallmark: certifies the purity of gold jewellery.

Trademark is designated by:

- TM (TM is used for an unregistered trademark. it is used to promote or brand goods).
- SM (used for an unregistered service mark. it is used to promote or brand services).
- R (letter R is surrounded by a circle and used for registered trademark).

Geographical indication

- A geographical indication is a name or sign used on products which corresponds to a specific geographical location or origin.
- A geographical indication (GI) is defined in the TRIPS Agreement as an indication which identifies a good as originating in the territory of a member, or a regional locality in that territory, where a given quality, reputation or other characteristic of the good is essentially attributable to its geographical origin.
- WIPO defines the term GI which includes all existing means of protection of names, symbols or place as an origin of a product
- Certain agricultural products have special qualities which are influenced by geographical climate or soil. Such products can register under GI.
- Examples of GI are Darjeeling tea, Arabian horses, Alphonso mangos, Nagpur orange, Basmati rice etc. In India
- A GI indicates that a product comes from a certain place and has special qualities due to that place of origin which could be a village or town, a region or a country.
- • It is an exclusive right given to a particular community and thus the benefits of its registration are shared by the all members of the community.
- • It may be used by all producers or traders whose products originate from that place and which share typical characteristics.
- **Ex.:** Bordeaux (wine), Darjeeling (tea), Chanderi (sarees), Kullu shawls and Tuscany (olive oil).
- • Most commonly, a geographical indication consists of the name of the place of origin of the goods

What rights does a geographical indication provide?

- A geographical indication right enables those who have the right to use the indication to prevent its use by a third party whose product does not conform to the applicable standards.
- For example, in the jurisdictions in which the Darjeeling geographical indication is protected, producers of Darjeeling tea can exclude use of the term “Darjeeling” for tea not

grown in their tea gardens or not produced according to the standards set out in the code of practice for the geographical indication.

- However, a protected geographical indication does not enable the holder to prevent someone from making a product using the same techniques as those set out in the standards for that indication. Protection for a geographical indication is usually obtained by acquiring a right over the sign that constitutes the indication.
- Geographical indications are typically used for agricultural products, foodstuffs, wine and spirit drinks, handicrafts, and industrial products.

Rights granted to the holders

- Right to sue: The exclusive rights have been granted to the person who is protected under geographical indication act and, therefore, can be inherited, gifted, sold, licensed, entrusted or mortgaged. The holder of geographical Indication has a type of property that he can use subject to certain conditions and take legal action against a person who uses his invention without his consent. Does and can receive compensation against real property.
- The right to grant license others: The holder has the right to transfer a license or grant license or enter into any other arrangement for consideration regarding their product. A license or assignment must be given in writing and registered with the Registrar of geographic indications, for it to be valid and legitimate.
- Right to exploit: Authorize user exclusive right to use geographic Indication with respect to geographic goods for which the geographic Indication is registered.
- Right to get reliefs: Registered Proprietors and authorized Users or Users have the Rights to obtain relief in relation to the violation of such geographical Indication.

Benefits of Geographical Indications

The organizations or companies who register their geographical indications enjoy various advantages from the registration, including:

- Registered geographical indications have the exclusive right to access or use G.I.'s products during the business.
- Authorized users enjoy the right to sue for infringement.
- It provides legal protection to geographical signs in India.
- Prevents unauthorized use of registered geographical indications by others.
- It provides legal protection to Indian geographical signals which in turn promotes exports.
- It promotes the economic prosperity of producers of goods produced in a geographical area.

- A registered owner can also approach for legal protection in other WTO member countries.
- It provides legal protection to the respective goods in domestic as well as in international markets.

Ethical and social responsibility and challenges

Ethics, also called **moral philosophy**, the discipline concerned with what is morally good and bad and morally right and wrong.

Ethics or moral philosophy is a branch of philosophy that "involves systematizing, defending, and recommending concepts of right and wrong behavior".

Social responsibility in business, also known as corporate social responsibility (CSR), pertains to people and organizations behaving and conducting business ethically and with sensitivity towards social, cultural, economic, and environmental issues.

Social responsibility means that besides maximizing shareholder value, businesses should operate in a way that benefits society.

Socially responsible companies should adopt policies that promote the well-being of society and the environment while lessening negative impacts on them.

Companies can act responsibly in many ways, such as by promoting volunteering, making changes that benefit the environment, engaging in ethical labor practices, and engaging in charitable giving.

Ethics and Social Responsibility for an Entrepreneur

Social Responsibility means eliminating corrupt, irresponsible or unethical behaviour which might harm to the community, its people and the environment.

The responsibilities of an entrepreneur towards world society are as follows:

- 1) **Public Image:** The activities of an entrepreneur towards the welfare of the society earn goodwill and reputation for the business. People prefer to buy products of a company that engages itself in various social welfare programs. Again good public image also attracts the honest and competent employees to work with such employers.
- 2) **Employee Satisfaction:** Employees are the part of the society. If you satisfy your needs, then you are doing social work.

3) **Ethical Leadership:** It is the belief that what entrepreneur does has a strong influence on employees. If manager cheats, Lies, steals or manipulates, then they are sending wrong signals to employees.

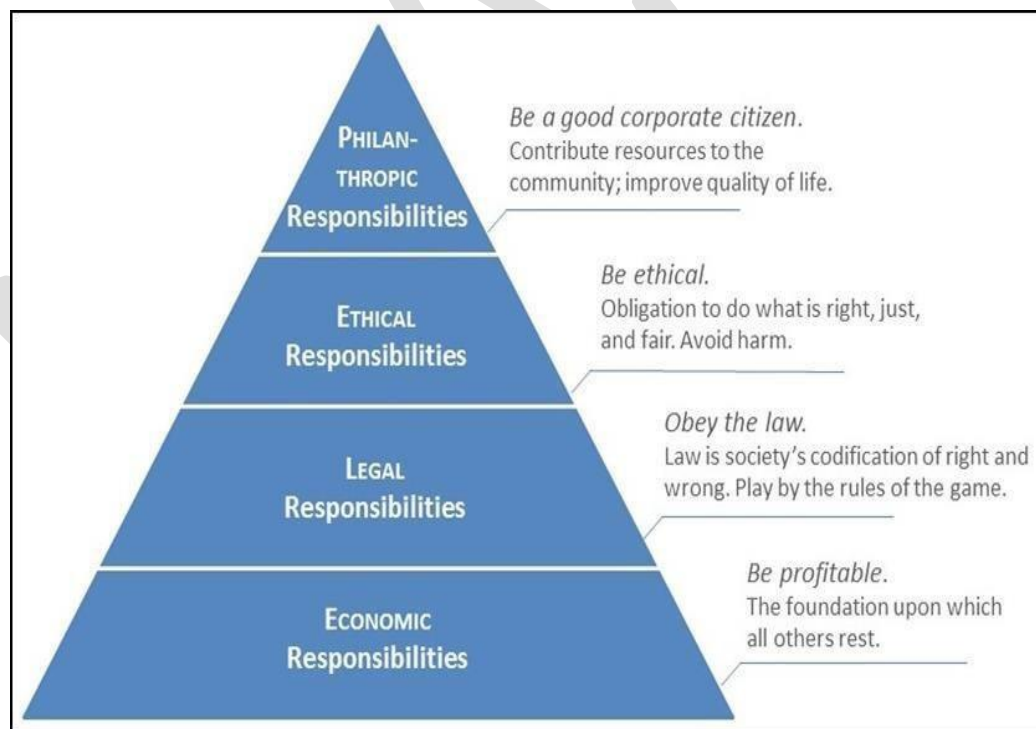
4) **A social Entrepreneur** is an individual or organization who seeks out opportunities to improve society by using practical, innovative and substantial approaches.

Ex: , HDFC contributes 7% of its income to support community needs, Wipro has set up a foundation named Azim Premji Foundation to help improve education of the elementary schools in rural India.

5) **Environment Management:** Managers and Organizations can do many things to protect and preserve the natural environment which includes plastic less business by giving paper bag, creating eco-friendly product, by eliminating production.

6) **Consumer Awareness.** Consumers have become very conscious about their rights. If you are giving high quality products at cheap rate, that is kind of social Responsibility

The pyramid of Social Responsibility



Need of Ethics to An Entrepreneur

- The social dimensions of business ethics cannot be overlooked because many problems arise from the relationship of business to the boarder society. Ethical considerations are significant due to the following reasons:
- For every individual job is the Centre of life. Unless job values are in harmony with the rest of life, he cannot be happy and healthy person.
- Modern society is an industrial society. Therefore, business value becomes the value of the society as a whole.
- An entrepreneur must take into moral and social consideration because these are the real motivating factors.
- When an organization fails to behave in accordance with the social expectations, it may lose not only its image and market share but it's very right to exist.
- The study of business ethics insulates high level of integrity to an entrepreneur.
- Ethical knowledge will help the entrepreneur in setting highly responsible tone for the organization in individual judgements and decisions whether ethical or not.

Why Business ethics is important?

Business ethics is important because it establishes a good relationship with your consumers, customers, stakeholders and maintains a good reputation and trust among them.

Some of the other reasons why business ethics is important are:

1.Helps in Hiring good talent: By following good business ethical principles, you can hire good talent for your company since following good ethics always attracts more people and increases the overall reputation of your company's brand.

2.Prevents any kind of Malpractices: The company which adheres and follows the ethical principles allows to build trust among its employees and prevents and any kind of bad practices to take which is against company rules and regulations.

3.Increases trust among the public: People will like to buy your company product and services if they believe the company they are purchasing from is honest and trustworthy.

By following good ethical principles, you can maintain a good relationship with the people and if the trust increases so is the company's brand and sales.

4.Helps in taking better decisions: Respect to ethics will allow the company to better decisions by taking all the factors into consideration, decision making will be good if the decisions are in the interest of people and the public, and also the employees of the company.

5.Good relationship with the employees: Ethical principles allows you to enhance your relationship with your fellow employees, employees trust will make them sustain longer in your company and thus increase the overall growth of your organization

6.Increases customer satisfaction: Good ethics will improve and increase the overall satisfaction of your customers. Same customers will want to do business with you again and again if customer satisfaction is increased so is the company revenue, growth, and the organization's overall brand image.

7.Protection of society: Ethics is one step above than legal system and policies of any country. If policies fail, ethics will always succeed.

Ethical principles in Business

1.Honesty: Honesty involves a commitment to telling the truth regardless of any situation and any consequence. Honesty builds trust among your fellow employees and increases the trust among the people and public.

2.Integrity: Following a set of moral standards and practices at all times even when no one is aware of your decisions is referred to as integrity.

3.Loyalty: Maintaining faith in coworkers, business partners, stakeholders, and clients shows your dedication and devotion. Ethical executives do not disclose any confidential information for their personal advantage. Employees following loyalty are loyal to their companies and colleagues and provide reasonable notice before their termination.

4. **Fairness:** Ethical executives maintain a commitment to justice, equal treatment for all employees and individuals. They are open-minded and willing to admit when they are wrong and can change their position and beliefs.

5. **Respect:** Ethically sound people and executives demonstrate respect for human dignity, privacy, interests. They treat all people equally and with dignity irrespective of religion, gender, sex, race. Organizations that promote individual respect experience enhanced collaboration and teamwork among their employees.

6. **Trustworthiness:** You can demonstrate trustworthiness among your colleagues and employees by following certain things such as:

- a. Arriving on time
- b. Meeting necessary targets
- c. Demonstrating consistency in actions.

Social Responsibility of an Entrepreneur towards Different Sections of The Society

Responsibility towards Employees:

- Fair wages and salaries
- Adequate Basic Facilities like safe drinking water, electricity, canteen, hygienic toilets.
- Skill development programmes.
- Good and safe working environment.
- Retirement benefits and pension schemes
- Collective bargaining
- Insurance cover
- Medical facilities

Responsibility towards Customers:

1. Charge reasonable price for products or services.
2. Supply of right quality of goods in right quantity.
3. No use of manipulated or false advertisements.
4. Avoid unfair selling practices.
5. Fair guarantee of product

Responsibility towards Shareholders:

1. A fair return on investment.
2. Safety of invested capital.
3. Regular and complete information about the performance and progress of the company.
4. Regular Payment if dividend

Responsibility towards Suppliers, Creditors:

1. Maintain healthy and co-operative inter-business relationship between different businesses.
2. Provide accurate and relevant information to creditors.
3. Payment of price of materials on time.
4. Prompt payment of interest on borrowed funds.
5. Producing original documents for credit processing

Responsibility towards Public in General:

1. Help the weaker section of the society.
2. Creation of job opportunities.
3. Improvement in living standards.
4. Building of basic infrastructure like roads, sewerage.
5. Health and educational development schemes.
6. To make best use of society's resources for their welfare

Responsibility towards Government:

1. Payment of corporate tax in correct amount with no manipulation of profit figures.
2. To avoid corrupting public servants by offering bribe.
3. To encourage fair trade practices.
4. To avoid monopoly practices.
5. To improve national income.

MBA, BIT

Module-6

Emerging Trends in Entrepreneurship Development

Digital Entrepreneurship

What is digital entrepreneurship?

- Digital entrepreneurship is a term that encompasses online businesses that individuals create and run. Online entrepreneurial ventures can be sources of passive income or active sites for selling goods and services. This can offer an entrepreneur new ways of finding customers, reducing costs and collaborating with others. Digital entrepreneurs combine business, market knowledge and network technology to reinvent traditional business practices through digitization.
- Digital entrepreneurs pursue business ventures exclusively on a digital platform.
- Compared to traditional entrepreneurs, digital entrepreneurs offer different products and services and use different types of funding and marketing strategies.
- Examples of online businesses include e-commerce, content creation and blogs, but there are many possibilities to build a business online.

What is a Digital Business?

- A digital business is an online business venture that's built, run and grown on digital technology.
- Digital entrepreneurship is defined as encompassing "new businesses and the transformation in context to the existing businesses by creating and using new digital technologies. Digital businesses are characterized by intensive use of new digital technologies (including social, mobile, analytics and cloud computing solutions) to improve business operations, invent new (digital) business models, refine business intelligence, and engage in dialogue with customers and stakeholders via new technologies.

Characteristics of digital entrepreneurs

1. **Global vision:** Visualizing how to globally grow an online business and reach scale.
2. **Technological competence:** Managing the digital tools and platforms on which a new business is built, and using this knowledge to strategize for growth.
3. **Adaptability:** Nimble keeping up with constantly evolving technology and new additions to the online space.

4. **Effective communication:** Leading a team with different tasks to work toward a shared goal.
5. **Open-mindedness:** Staying open to new ideas and tools as technology changes and evolves.

How Is Digital Entrepreneurship Important?

- **More customers:**

As digital entrepreneurship is related with the utilization of digital systems for execution of all business activities, the communication between a buyer and a seller becomes easy the communication through internet is easy when compared to other means of communication. Buying goods and products through online is the convenient way for consumers to buy.

- **Keep up with the competition:**

The usage of digital marketing enables a company to attain more customers and strong enough to meet the competition. In order to face various market challenges, digital technology is very essential for every business in order to face the challenges and grow their business.

- **Maximize the value of website:**

Every website of a business is supposed to offer services as much as possible to make visitors as efficient customers and in turn consumers. Different entrepreneurs follow different ways to achieve this but one common aim for everyone is to have high sales for their company. Hence, well designed website for every business can be a platform to achieve this goal.

- **Reduced costs:**

Digital technology is very feasible in financial aspect. This means digital marketing is very affordable. The costs are varied depending on the kind of strategy they use for marketing products. So automatically the costs can be decreased with the use of digital technologies.

Instant feedback:

As the conversation is two way, the entrepreneurs can get feedback instantly. An entrepreneur can know immediately when the customer is not satisfied with the product offered. He/she can modify the products if necessary according to the needs of customers. This makes an entrepreneur to follow the trends that occurred in requirements, tastes and preferences of the customers.

- **Ease of Entry**

Establishing a digital business venture is easy when compared to a traditional entrepreneurial business. For example, the time taken to build a website which sells the existing goods and services is less. Existing huge companies like eBay, amazon enables individuals to utilize the opportunities to form small business ventures in a short time.

- **Ease of Distribution in Digital Marketplace**

The main feature and advantage of digital business is that the products and services are delivered overall the world very quickly and cheaply.

Challenges of Becoming a Digital Entrepreneur

- **Creating an Effective Website**

The first challenge of digital entrepreneurship is creating an effective website. All businesses require well-designed, well-functioning websites these days, but online ones live and die by their site.

- **Lack of Funding**

Another major issue facing the digital entrepreneur is a lack of funds and difficulty tracking expenses. It's harder for people working in non-traditional businesses to get funding from banks.

- **No Clear Pathway to Follow**

When you're starting a business like a restaurant or boutique, there are clear roads you can follow. If you run something based on a brand-new business idea or an unknown service, it can be difficult to find a pathway to follow.

- **Flooded Markets**

One of the greatest digital entrepreneur challenges is the nature of the internet itself. No matter how original you feel your business concept may be, chances are, someone else has already done it.

- **Finding Ways to Scale Your Operations**

- When you have a brick-and-mortar business, it's easy to see when you need to grow your operations. A digital entrepreneur doesn't have crowded buildings or sold-out shelves to indicate a need for expansion. Therefore, it can be hard to tell when you should start investing in scalability compared to other businesses.

- **Managing Your Online Business's Social Media**

- Social media management is a key part of any business strategy these days. Traditional businesses often have a separate social media manager to handle their posts. However, when you run an online business, you will need to manage your own social media presence.

- **Competition**

The digital age has led to the proliferation of startups, which has made competition more intense. Entrepreneurs must contend with a large number of competitors, many of whom have similar products or services.

- **Cyber security**

Businesses must ensure that their networks are secure and that they have proper protocols in place to protect against cyber threats.

- **Keeping up with technology**

As technology advances at an ever-increasing pace, it can be challenging for entrepreneurs to keep up with the latest trends and to ensure that their businesses are leveraging the latest technologies.

Why become a digital entrepreneur?

- Scalability
- Easy access to consumers
- Flexibility
- Potential for part-time work
- Lower costs
- Potential for growth

Opportunities:

1. **Global reach:** The digital age has made it possible for businesses to have a global reach. Entrepreneurs can market their products or services to customers all over the world, which can help to increase sales and profits.
2. **Data analysis:** The digital age has also made it possible for businesses to gather and analyze vast amounts of data. This can help entrepreneurs to understand their customers better and to tailor their products or services to meet their needs.
3. **Flexible working:** The digital age has enabled businesses to be more flexible in terms of where and when they work. Entrepreneurs can work from home or from anywhere in the world, which can help to reduce costs and increase productivity.
4. **Automation:** The digital age has made it possible for businesses to automate many tasks that were previously done manually. This can help to reduce costs and to increase efficiency.

Social Entrepreneur

A social entrepreneur is interested in starting a business for the greater social good and not just the pursuit of profits. Social entrepreneurs may seek to produce environmentally-friendly products, serve an underserved community, or focus on philanthropic activities.

Social entrepreneurship is the process by which individuals, startups and entrepreneurs develop and fund solutions that directly address social issues. A social entrepreneur,

therefore, is a person who explores business opportunities that have a positive impact on their community, in society or the world.

A social entrepreneur is somebody who takes up a pressing social problem and meets it with an innovative or path breaking solution.

Vinobha Bhave: is a prominent figure in Indian modern history and was the founder and leader of the Land gift movement that helped reallocate land to untouchables.

Florence nightingale: she laid the foundation for the first school of nurses and worked to improve the hospital conditions.

Some key areas of interest for social entrepreneurs might include:

- Economic development
- Education
- Gender equality
- Health care
- Agriculture
- Environmental sustainability
- Renewable energy
- Community development

How Does Social Entrepreneurship Work?

- Social entrepreneurs strive to develop and implement innovative and long-term solutions to social, cultural, financial, and environmental problems. Either, they donate their profits, earned from selling goods and services, to aid those in need. Or, they use government grants or raise funds to support a cause.
- In other words, these entrepreneurs can be for both profit and non-profit purposes and operate under social enterprises. However, their primary goal is to effect social change while earning a profit to further the social cause.

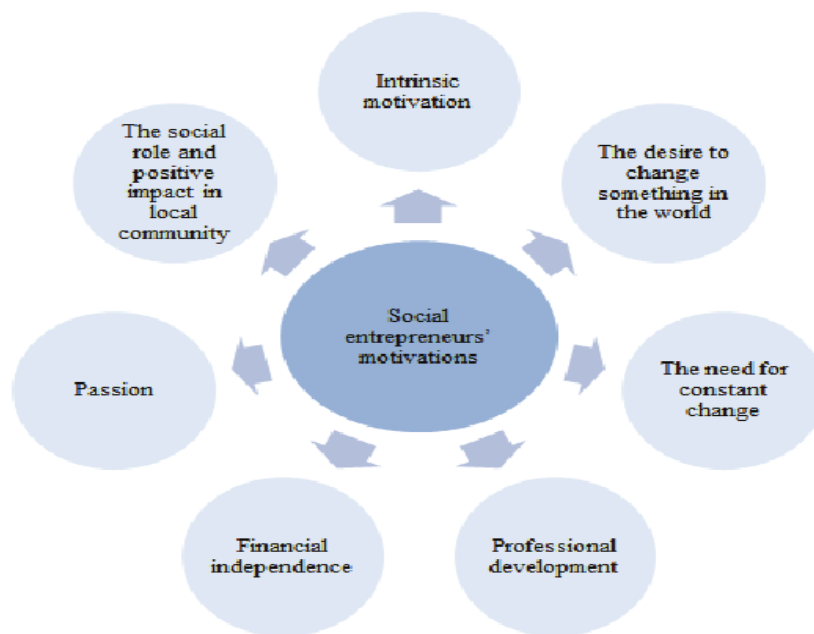
Example: In 2020, the COVID-19 pandemic wreaked havoc on the global economy. However, social enterprises saw this as an **opportunity** to shift their business strategy and progress toward a circular economy. Their swift response in the face of health and financial crises aided the recovery of disadvantaged communities and enterprises.

- Social companies made a significant contribution in several areas, including economic resilience, healthcare, education, and remote working. They made a difference in people's lives in many ways.
- In the modern era, social entrepreneurship is often combined with technology assets:

- For example, bringing high-speed internet connectivity to remote communities so that school-age children have more access to information and knowledge resources. Another example are microfinance institutions that provide banking services to unemployed or low-income individuals or groups who otherwise would have no other access to financial services.

Motivation for a Social Entrepreneur

Social entrepreneurs are motivated by social problems and challenges, inspiration, and previous personal experiences, as well as their social networks.



Rural Entrepreneurship

- Entrepreneurship blossoming in the rural region of the country is known as rural entrepreneurship. An individual who establishes the industrial and business units in rural areas procures local resources and largely employs local human resources is termed a rural entrepreneur.
- Rural entrepreneur stays in villages and manages (plan, promote and maintain) an enterprise suited to the specific rural area. He possesses the capability to take on primary, secondary, and tertiary sectors activities and thus contribute to economic development.

CLASSIFICATION OF RURAL ENTREPRENEURS

a) **Agricultural entrepreneurs:** Individuals who are involved in agricultural activities are called agricultural entrepreneurs. In simpler words, the main occupation of agricultural entrepreneurs is agriculture.

b) **Artisan Entrepreneurs:** Skilful individuals working in rural areas/ villages are called artisan entrepreneurs. This community acquires skills through education and formal training. Carpenters, weavers, blacksmiths, potters are the common example of artisans.

c) **Merchant and Trading Groups:** This class of entrepreneurs is involved in industrial, business, or commercial activities. They run small shops like Kirana, micro and small units, commission business, procuring raw material from villages and sell it in urban markets at a good margin.

d) **Tribal Entrepreneurs:** Tribal entrepreneurs are graduates, belonging to the tribal community. They utilise the forest produce and resources for their own needs and to cater to the needs of other members of the tribal community on a semi-commercial or commercial basis.

IMPORTANCE

1. Rural entrepreneurial activities contribute to economic growth and development by rising rural income.
2. Improves monetary supply in rural areas
3. Reduces wage inconsistencies amongst urban and rural ranges
4. The standard of living of the rural and tribal community will be increased
5. Encouragement to small and cottage industries
6. Save the old craftsmanship of incredible India
7. Prompt advancement of rural villages without demolition
8. Fulfillment of demand arising from the neighborhood area
9. Creation of goods and services where skills of particular nature are required

RURAL ENTREPRENEURSHIP OPPORTUNITIES IN INDIA

A lot of opportunities exist in rural entrepreneurship:

- **Motivation and sustainability:** Rural entrepreneurs motivate and provide sustainability to the rural masses. Local people support and encourage the development of rural entrepreneurship in their region.
- **Labour availability:** 70 percent of India's population is living in rural areas/villages. majority of this population is employed in agriculture and allied activities. Agriculture and allied activities are not accessible consistently. The availability of semiskilled and incompetent workers is one of the driving forces behind entrepreneurs establishing the plant in rural towns/villages.

- **Raw materials availability:** Farm-based items such as raw materials are easily accessible to rural entrepreneurs.
- **Low foundation cost:** The foundation cost of a business venture is quite less in rural villages (in comparison to urban zone). There is no compulsion of building or developing offices/frameworks/structures in rural entrepreneurship.
- **Production cost:** The cost of factors of production in the rural area is relatively low when contrasted with metro and mini-metro cities. Rural entrepreneurs have an upper hand in the easy procurement of factors of production.
- **Cost of promotional activities:** Rural industrialisation is slowly picking pace in India. Only a handful of industrial units are operating in rural villages and towns. In other words, competition in rural areas is less so for rural entrepreneurs there will not be any major cost incurred for promotional activities.
- **Subsidies and policies:** Indian government had introduced several subsidies and policies for the better establishment and management of rural entrepreneurship. The government has announced subsidies that impetus the growth of industrialisation in rural areas. Not only this, the government had launched promotional policies which are quite innovative, flexible, and provide continuous support to rural entrepreneurs.